TATA CONSULTANCY SERVICES LIMITED
Consolidated Balance Sheet

(₹ crore)

	Note	As at March 31, 2026	As at March 31, 2025
ASSETS			
Non-current assets			
Property, plant and equipment	10(a)	11,032	10,978
Capital work-in-progress	10(a)	2,665	1,546
Right-of-use assets	9	11,027	9,275
Goodwill	10(b)	9,108	1,860
Other intangible assets	10(c)	176	940
Financial assets			
Investments	8(a)	218	275
Trade receivables			
Billed	8(b)	99	91
Unbilled		114	38
Loans	8(e)	775	25
Other financial assets	8(f)	2,944	2,731
Deferred tax assets (net)	17	4,465	3,578
Income tax assets (net)		1,439	1,569
Other assets	10(d)	2,605	3,712
Total non-current assets		**46,667**	**36,618**
Current assets			
Inventories	10(e)	29	21
Financial assets			
Investments	8(a)	33,770	30,689
Trade receivables			
Billed	8(b)	57,630	50,142
Unbilled		10,084	8,904
Cash and cash equivalents	8(c)	6,417	8,342
Other balances with banks	8(d)	6,491	7,121
Loans	8(e)	1,659	9
Other financial assets	8(f)	1,833	2,742
Income tax assets (net)		1,259	257
Other assets	10(d)	16,533	14,784
Total current assets		**1,35,705**	**1,23,011**
TOTAL ASSETS		**1,82,372**	**1,59,629**
EQUITY AND LIABILITIES			
Equity			
Share capital	8(m)	362	362
Other equity		1,06,878	94,394
Equity attributable to shareholders of the Company		**1,07,240**	**94,756**
Non-controlling interests		1,238	1,015
Total equity		**1,08,478**	**95,771**
Liabilities			
Non-current liabilities			
Financial liabilities			
Class B compulsorily convertible preference shares	8(n)	126	-
Lease liabilities		9 453	7,838
Other financial liabilities	8(h)	588	680
Employee benefit obligations	13	961	841
Deferred tax liabilities (net)	17	1,205	980
Unearned and deferred revenue		647	518
Total non-current liabilities		**12,980**	**10,857**
Current liabilities			
Financial liabilities			
Lease liabilities		1,830	1,554
Trade payables	8(g)	14,808	13,909
Other financial liabilities	8(h)	11,194	8,542
Unearned and deferred revenue		4,487	4,028
Other liabilities	10(f)	6,866	7,188
Provisions	10(g)	1,378	180
Employee benefit obligations	14	5,600	4,885
Income tax liabilities (net)		14,751	12,715
Total current liabilities		**60,914**	**53,001**
TOTAL EQUITY AND LIABILITIES		**1,82,372**	**1,59,629**

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS

As per our report of even date attached

For and on behalf of the Board

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director – President and COO
DIN: 07121802

Aniruddha Godbole
Partner
Membership No: 105149

Samir Seksaria
CFO

Yashaswin Sheth
Company Secretary

Mumbai, April 9, 2026

Mumbai, April 9, 2026

TATA CONSULTANCY SERVICES LIMITED
Consolidated Statement of Profit and Loss

(₹ crore)

	Note	Year ended March 31, 2026	Year ended March 31, 2025
Revenue from operations	12	2,67,021	2,55,324
Other income	13	4,402	3,962
TOTAL INCOME		**2,71,423**	**2,59,286**
Expenses			
Employee benefit expenses	14	1,54,994	1,45,788
Cost of equipment and software licences	15(a)	4,399	11,648
Finance costs	16	1,227	796
Depreciation and amortisation expense		5,560	5,242
Other expenses	15(b)	35,230	30,481
TOTAL EXPENSES		**2,01,410**	**1,93,955**
PROFIT BEFORE EXCEPTIONAL ITEMS AND TAX		**70,013**	**65,331**
Exceptional items			
Re-structuring expenses	25	1,388	-
Statutory impact of new Labour Codes	26	2,128	-
Provision towards legal claim	20	1,010	-
PROFIT BEFORE TAX		**65,487**	**65,331**
Tax expense			
Current tax	17	16,388	16,910
Deferred tax	17	(355)	(376)
TOTAL TAX EXPENSE		**16,033**	**16,534**
PROFIT FOR THE YEAR		**49,454**	**48,797**
OTHER COMPREHENSIVE INCOME (OCI)			
Items that will not be reclassified subsequently to profit or loss			
Remeasurement of defined employee benefit plans		482	(106)
Net change in fair values of investments in equity shares carried at fair value through OCI		35	(24)
Income tax on items that will not be reclassified subsequently to profit or loss		(114)	18
Items that will be reclassified subsequently to profit or loss			
Net change in fair values of investments other than equity shares carried at fair value through OCI		(1,066)	593
Net change in intrinsic value of derivatives designated as cash flow hedges		(9)	1
Net change in time value of derivatives designated as cash flow hedges		-	(9)
Exchange differences on translation of financial statements of foreign operations		3,149	262
Income tax on items that will be reclassified subsequently to profit or loss		273	(146)
TOTAL OTHER COMPREHENSIVE INCOME / (LOSSES)		**2,750**	**589**
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		**52,204**	**49,386**
Profit for the year attributable to:			
Shareholders of the Company		49,210	48,553
Non-controlling interests		244	244
		49,454	**48,797**
Other comprehensive income for the year attributable to:			
Shareholders of the Company		2,711	571
Non-controlling interests		39	18
		2,750	**589**
Total comprehensive income for the year attributable to:			
Shareholders of the Company		51,921	49,124
Non-controlling interests		283	262
		52,204	**49,386**
Earnings per equity share:- Basic and diluted (₹)	18	136.01	134.19
Weighted average number of equity shares		361,80,87,518	361,80,87,518

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS

As per our report of even date attached

For and on behalf of the Board

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director – President and COO
DIN: 07121802

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, April 9, 2026

Samir Seksaria
CFO

Mumbai, April 9, 2026

Yashaswin Sheth
Company Secretary

TATA CONSULTANCY SERVICES LIMITED

Consolidated Statement of Changes in Equity

A. EQUITY SHARE CAPITAL

(₹ crore)

Balance as at April 1, 2025	Changes in equity share capital due to prior period errors	Restated balance as at April 1, 2025	Changes in equity share capital during the year	Balance as at March 31, 2026
362	-	362	-	362

(₹ crore)

Balance as at April 1, 2024	Changes in equity share capital due to prior period errors	Restated balance as at April 1, 2024	Changes in equity share capital during the year	Balance as at March 31, 2025
362	-	362	-	362

TATA CONSULTANCY SERVICES LIMITED

Consolidated Statement of Changes in Equity

B. OTHER EQUITY (₹ crore)

	Reserves and surplus					Items of other comprehensive income				Equity attributable to shareholders of the Company	Non-controlling interests	Total equity
	Capital reserve	Capital redemption reserve	Special Economic Zone re-investment reserve	Retained earnings	Statutory reserve	Investment revaluation reserve	Cash flow hedging reserve: Intrinsic value	Cash flow hedging reserve: Time value	Foreign currency translation reserve			
Balance as at April 1, 2025	**75**	**444**	**1,085**	**88,777**	**173**	**655**	**9**	**(24)**	**3,200**	**94,394**	**1,015**	**95,409**
Changes in accounting policy / prior period errors	-	-	-	-	-	-	-	-	-	-	-	-
Restated balance as at April 1, 2025	**75**	**444**	**1 085**	**88 777**	**173**	**655**	**9**	**(24)**	**3 200**	**94 394**	**1,015**	**95 409**
Profit for the year	-	-	-	49,210	-	-	-	-	-	49,210	244	49,454
Other comprehensive income / (losses)	-	-	-	368	-	(762)	(7)	-	3,112	2,711	39	2,750
Total comprehensive income	**-**	**-**	**-**	**49,578**	**-**	**(762)**	**(7)**	**-**	**3,112**	**51,921**	**283**	**52,204**
Dividend	-	-	-	(39,437)	-	-	-	-	-	(39,437)	(134)	(39,571)
Transfer from Special Economic Zone re-investment reserve	-	-	(1,085)	1,085	-	-	-	-	-	-	-	-
Transfer to reserves	-	-	-	(88)	88	-	-	-	-	-	-	-
Realised loss on equity shares carried at fair value thro	-	-	-	(32)	-	32	-	-	-	-	-	-
Issue of equity shares to non-controlling interests	-	-	-	-	-	-	-	-	-	-	3	3
Issue of Class A compulsorily convertible preference shares to non-controlling interests	-	-	-	-	-	-	-	-	-	-	71	71
Balance as at March 31, 2026	**75**	**444**	**-**	**99,883**	**261**	**(75)**	**2**	**(24)**	**6,312**	**106,878**	**1,238**	**108,116**
Balance as at April 1, 2024	**75**	**444**	**16,234**	**70,033**	**160**	**235**	**9**	**(18)**	**2,955**	**90,127**	**830**	**90,957**
Changes in accounting policy / prior period errors	-	-	-	-	-	-	-	-	-	-	-	-
Restated balance as at April 1, 2024	**75**	**444**	**16 234**	**70 033**	**160**	**235**	**9**	**(18)**	**2 955**	**90 127**	**830**	**90 957**
Profit for the year	-	-	-	48,553	-	-	-	-	-	48,553	244	48,797
Other comprehensive income / (losses)	-	-	-	(88)	-	420	-	(6)	245	571	18	589
Total comprehensive income	**-**	**-**	**-**	**48,465**	**-**	**420**	**-**	**(6)**	**245**	**49,124**	**262**	**49,386**
Dividend	-	-	-	(44,864)	-	-	-	-	-	(44,864)	(98)	(44,962)
Transfer from Special Economic Zone re-investment reserve	-	-	(15,149)	15,149	-	-	-	-	-	-	-	-
Transfer to reserves	-	-	-	(13)	13	-	-	-	-	-	-	-
Sale of shares to non-controlling interests	-	-	-	7	-	-	-	-	-	7	21	28
Balance as at March 31, 2025	**75**	**444**	**1,085**	**88,777**	**173**	**655**	**9**	**(24)**	**3,200**	**94,394**	**1,015**	**95,409**

Gain of ₹368 crore and loss of ₹88 crore on remeasurement of defined employee benefit plans (net of tax) is recognised as a part of retained earnings for the years ended March 31, 2026 and 2025, respectively.

Total equity (primarily retained earnings) includes ₹1,432 crore and ₹1,570 crore as at March 31, 2026 and 2025, respectively, pertaining to trusts and TCS Foundation held for specified purposes.

Nature and purpose of reserves

(a) **Capital reserve**

The Group recognises profit and loss on purchase, sale, issue or cancellation of the Group's own equity instruments to capital reserve.

(b) **Capital redemption reserve**

As per Companies Act, 2013, capital redemption reserve is created when company purchases its own shares out of free reserves or securities premium. A sum equal to the nominal value of the shares so purchased is transferred to capital redemption reserve. The reserve is utilised in accordance with the provisions of section 69 of the Companies Act, 2013.

(c) **Special Economic Zone re-investment reserve**

The Special Economic Zone (SEZ) re-investment reserve is created out of the profit of eligible SEZ units in terms of the provisions of section 10AA(1)(ii) of the Income-tax Act, 1961. The reserve will be utilised by the Group for acquiring new assets for the purpose of its business as per the terms of section 10AA(2) of Income-tax Act, 1961.

(d) **Retained earnings**

This reserve represents undistributed accumulated earnings of the Group as on the balance sheet date.

(e) **Statutory reserve**

Statutory reserves are created to adhere to requirements of applicable laws and will be utilised in accordance with the said laws.

(f) **Investment revaluation reserve**

This reserve represents the cumulative gains and losses arising on the revaluation of equity and debt instruments on the balance sheet date measured at fair value through other comprehensive income. The reserves accumulated will be reclassified to retained earnings and statement of profit and loss respectively, when such instruments are disposed.

(g) **Cash flow hedging reserve**

The cash flow hedging reserve represents the cumulative effective portion of gains or losses arising on changes in fair value of designated portion of hedging instruments entered into for cash flow hedges. Such gains or losses will be reclassified to statement of profit and loss in the period in which the underlying hedged transaction occurs.

(h) **Foreign currency translation reserve**

The exchange differences arising from the translation of financial statements of foreign operations with functional currency other than Indian Rupee is recognised in other comprehensive income and is presented within equity in the foreign currency translation reserve.

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, April 9, 2026

For and on behalf of the Board

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director – President and COO
DIN: 07121802

Samir Seksaria
CFO

Yashaswin Sheth
Company Secretary

Mumbai, April 9, 2026

TATA CONSULTANCY SERVICES LIMITED
Consolidated Statement of Cash Flows

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit for the year	49,454	48,797
Adjustments for:		
Depreciation and amortisation expense	5,560	5,242
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	184	128
Provision towards legal claim (Refer note 20)	1,010	-
Provision towards Re-structuring expenses (Refer note 25)	120	-
Tax expense	16,033	16,534
Net gain on lease modification	(110)	(15)
Net gain on sub-lease	(8)	-
Unrealised foreign exchange gain	(176)	(1)
Net gain on disposal of property, plant and equipment	(17)	(20)
Net gain on disposal / fair valuation of investments	(701)	(269)
Net gain on fair valuation of call option	(17)	-
Transaction cost on incorporation of subsidiary	18	-
Interest income	(3,854)	(3,296)
Dividend income	(35)	(43)
Finance costs	1,227	796
Operating profit before working capital changes	**68,688**	**67,853**
Net change in		
Inventories	(8)	7
Trade receivables		
Billed	(4,778)	(5,519)
Unbilled	(470)	291
Loans and other financial assets	197	(738)
Other assets	837	(2,552)
Trade payables	(1,105)	3,718
Unearned and deferred revenue	320	395
Other financial liabilities	2,814	(119)
Other liabilities and provisions	(17)	1,158
Cash flows generated from operations	**66,478**	**64,494**
Taxes paid (net of refunds)	(14,384)	(15,586)
Net cash flows generated from operating activities	**52,094**	**48,908**
CASH FLOWS FROM INVESTING ACTIVITIES		
Bank deposits placed	(8,506)	(10,496)
Inter-corporate deposits placed	(1,500)	-
Purchase of investments (including reverse repo(net))#	(1,51,864)	(1,45,962)
Payment for purchase of property, plant and equipment	(3,670)	(2,917)
Payment including advances for acquiring right-of-use assets	(109)	(76)
Payment for purchase of intangible assets	(367)	(944)
Earmarked deposits placed with banks	(530)	-
Acquisition of assets (Refer note 21)	(554)	(1,063)
Acquisition of subsidiaries (net of cash of ₹130 crore) (Refer note 7)	(6,750)	-
Advance towards acquisition of investment	(250)	-
Proceeds from bank deposits	9,259	8,177
Proceeds from inter-corporate deposits	-	170
Proceeds from disposal / redemption of investments#	1,48,023	1,47,695
Proceeds from sub-lease receivable	9	5
Proceeds from disposal of property, plant and equipment	65	23
Proceeds from Earmarked deposits	825	-
Interest received	3,008	3,056
Dividend received	84	40
Loan given	-	(29)
Loan recovered	-	3
Transaction cost on incorporation of subsidiary (Refer note 7(a))	(18)	-
Net cash flows used in investing activities	**(12,845)**	**(2,318)**

TATA CONSULTANCY SERVICES LIMITED
Consolidated Statement of Cash Flows

		(₹ crore)
	Year ended March 31, 2026	**Year ended March 31, 2025**
CASH FLOWS FROM FINANCING ACTIVITIES		
Repayment of lease liabilities[1]	(1,861)	(1,664)
Interest paid	(901)	(840)
Dividend paid	(39,437)	(44,864)
Dividend paid to non-controlling interests	(134)	(98)
Sale of shares to non-controlling interests	-	28
Issue of equity shares to non-controlling interests	3	-
Issue of Class A compulsorily convertible preference shares to non-controlling interests	71	-
Issue of Class B compulsorily convertible preference shares	126	-
Net cash flows used in financing activities	**(42,133)**	**(47,438)**
Net change in cash and cash equivalents	**(2,884)**	**(848)**
Cash and cash equivalents at the beginning of the year	8,342	9,016
Exchange difference on translation of foreign currency cash and cash equivalents	959	174
Cash and cash equivalents at the end of the year	**6,417**	**8,342**
Components of cash and cash equivalents		
Balances with banks		
In current accounts	3,193	3,421
In deposit accounts	3,217	4,907
Cheques on hand	-*	-*
Cash on hand	-*	-*
Remittances in transit	7	14
	6,417	**8,342**

*Represents values less than ₹0.50 crore.

[#]Purchase of investments include ₹470 crore and ₹175 crore for the years ended March 31, 2026 and 2025, respectively, and proceeds from disposal / redemption of investments include ₹258 crore and ₹169 crore for the years ended March 31, 2026 and 2025, respectively, held by trusts and TCS Foundation held for specified purposes.

[1]Changes in lease liabilities including both changes arising from cash flows and non-cash changes are given in note 9.

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS

As per our report of even date attached

For and on behalf of the Board

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director – President and COO
DIN: 07121802

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, April 9, 2026

Samir Seksaria
CFO

Mumbai, April 9, 2026

Yashaswin Sheth
Company Secretary

1) Corporate information

Tata Consultancy Services Limited ("the Company") and its subsidiaries (collectively together with employee welfare trusts referred to as "the Group") provide IT services, consulting and business solutions and have been partnering with many of the world's largest businesses in their transformation journeys. The Group offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions. This is delivered through its unique Location-Independent Agile delivery model recognised as a benchmark of excellence in software development.

The Company is a public limited company incorporated and domiciled in India. The address of its corporate office is TCS House, Raveline Street, Fort, Mumbai - 400001. As at March 31, 2026, Tata Sons Private Limited, the holding company owned 71.74% of the Company's equity share capital.

The Board of Directors approved the consolidated financial statements for the year ended March 31, 2026 and authorised for issue on April 9, 2026.

2) Statement of compliance

These consolidated financial statements have been prepared in accordance with the Indian Accounting Standards (Ind AS), prescribed under section 133 of the Companies Act, 2013 read with the Companies (Indian Accounting Standards) Rules as amended from time to time.

3) Basis of preparation

These consolidated financial statements have been prepared on historical cost basis except for certain financial instruments and defined benefit plans which are measured at fair value or amortised cost at the end of each reporting period. Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. All assets and liabilities have been classified as current and non-current as per the Group's normal operating cycle. Based on the nature of services rendered to customers and time elapsed between deployment of resources and the realisation in cash and cash equivalents of the consideration for such services rendered, the Group has considered an operating cycle of 12 months.

The statement of cash flows has been prepared under indirect method, whereby profit or loss is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and items of income or expense associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Group are segregated. The Group considers all highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value to be cash equivalents.

The functional currency of the Company and its Indian subsidiaries is the Indian Rupee (₹). The functional currency of foreign subsidiaries is the currency of the primary economic environment in which the entity operates. Foreign currency transactions are recorded at exchange rates prevailing on the date of the transaction. Foreign currency denominated monetary assets and liabilities are retranslated at the exchange rate prevailing on the balance sheet dates and exchange gains and losses arising on settlement and restatement are recognised in the statement of profit and loss. Non-monetary assets and liabilities that are measured in terms of historical cost in foreign currencies are not retranslated.

The material accounting policy information related to preparation of the consolidated financial statements have been discussed in the respective notes.

4) Basis of consolidation

The Company consolidates all entities which are controlled by it.

The Company establishes control when; it has power over the entity, is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect the entity's returns by using its power over relevant activities of the entity.

Entities controlled by the Company are consolidated from the date control commences until the date control ceases.

The results of subsidiaries acquired, or sold, during the year are consolidated from the effective date of acquisition and up to the effective date of disposal, as appropriate.

The financial statements of the Group companies are consolidated on a line-by-line basis and all inter-company transactions, balances, income and expenses are eliminated in full on consolidation.

Changes in the Company's interests in subsidiaries that do not result in a loss of control are accounted for as equity transactions. The carrying amount of the Company's interests and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to shareholders of the Company.

Assets and liabilities of entities with functional currency other than the functional currency of the Company have been translated using exchange rates prevailing on the balance sheet date. Statement of profit and loss of such entities has been translated using weighted average exchange rates. Translation adjustments have been reported as foreign currency translation reserve in the statement of changes in equity. When a foreign operation is disposed off in its entirety or partially such that control, significant influence or joint control is lost, the cumulative amount of exchange differences related to that foreign operation recognised in OCI is reclassified to statement of profit and loss as part of the gain or loss on disposal.

5) Use of estimates and judgements

The preparation of consolidated financial statements in conformity with the recognition and measurement principles of Ind AS requires management of the Group to make estimates and judgements that affect the reported balances of assets and liabilities, disclosures of contingent liabilities as at the date of consolidated financial statements and the reported amounts of income and expenses for the periods presented.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and future periods are affected.

The Group uses the following critical accounting judgements, estimates and assumptions in preparation of its consolidated financial statements:

(a) Revenue recognition

Revenue for fixed-price contracts is recognised using percentage-of-completion method. The Group estimates the future cost-to-completion of the contracts which is used to determine degree of completion of the performance obligation.

The Group exercises judgement for identification of performance obligations, determination of transaction price, ascribing the transaction price to each distinct performance obligation and in determining whether the performance obligation is satisfied at a point in time or over a period of time. These judgements have been explained in detail under the revenue recognition note (Refer note 11).

(b) Useful lives of property, plant and equipment

The Group reviews the useful life of property, plant and equipment at the end of each reporting period. This reassessment may result in change in depreciation expense in future periods (Refer note 10(a)).

(c) Impairment of goodwill

The Group estimates the value-in-use of the cash generating units (CGUs) based on the future cash flows after considering current economic conditions and trends, estimated future operating results and growth rate and anticipated future economic and regulatory conditions. The estimated cash flows are developed using internal forecasts. The discount rates used for the CGUs represent the weighted average cost of capital based on the historical market returns of comparable companies (Refer note 10(b)).

(d) Fair value measurement of financial instruments

When the fair value of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the Discounted Cash Flow model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

(e) Impairment of financial assets (other than at fair value)

Measurement of impairment of financial assets require use of estimates, which have been explained in the note on financial assets, financial liabilities and equity instruments, under impairment of financial assets (other than at fair value) (Refer note 8)).

(f) Deferred tax assets

A deferred tax asset is recognised to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilised. Accordingly, the Group exercises its judgement to reassess the carrying amount of deferred tax assets at the end of each reporting period.

(g) Provisions and contingent liabilities

The Group estimates the provisions that have present obligations as a result of past events and it is probable that outflow of resources will be required to settle the obligations. These provisions are reviewed at the end of each reporting period and are adjusted to reflect the current best estimates.

The Group uses significant judgements to assess contingent liabilities. Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Group or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount cannot be made. Contingent assets are neither recognised nor disclosed in the consolidated financial statements.

(h) Employee benefits

The accounting of employee benefit plans in the nature of defined benefit requires the Group to use assumptions. These assumptions have been explained under employee benefits note (Refer note 14 and 27).

(i) Leases

The Group evaluates if an arrangement qualifies to be a lease as per the requirements of Ind AS 116. Identification of a lease requires significant judgement. The Group uses significant judgement in assessing the lease term (including anticipated renewals) and the applicable discount rate.

The Group determines the lease term as the non-cancellable period of a lease, together with both periods covered by an option to extend the lease if the Group is reasonably certain to exercise that option; and periods covered by an option to terminate the lease if the Group is reasonably certain not to exercise that option. In assessing whether the Group is reasonably certain to exercise an option to extend a lease, or not to exercise an option to terminate a lease, it considers all relevant facts and circumstances that create an economic incentive for the Group to exercise the option to extend the lease, or not to exercise the option to terminate the lease. The Group revises the lease term if there is a change in the non-cancellable period of a lease.

The discount rate is generally based on the incremental borrowing rate specific to the lease being evaluated or for a portfolio of leases with similar characteristics.

(j) Business combinations and intangible assets

Business combinations are accounted for using Ind AS 103, Business Combinations. Ind AS 103 requires to fair value identifiable intangible assets and contingent consideration to ascertain the net fair value of identifiable assets, liabilities and contingent liabilities of the acquiree. Estimates are required to be made in determining the value of contingent consideration and intangible assets. These measurements are based on information available at the acquisition date and are based on expectations and assumptions that have been deemed reasonable by the Management.

6) Recent pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time.

In May 2025, MCA notified amendments to Ind AS 21 - The Effects of Changes in Foreign Exchange Rates, applicable w.e.f. April 1, 2025. The Group has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.

In August 2025, MCA notified the following amendments to:

1. Ind AS 1, Presentation of Financial Statements, applicable w.e.f April 1, 2025 - The amendment relates to classification of liabilities as current or non -current and non-current liabilities with covenants. In the context of classifying a liability as current, it removes the requirement of existence of a right to defer settlement for at least 12 months after the reporting date, and instead requires that the said right should exist on the reporting date and have substance. The amendment also introduces guidance on classification of liabilities with covenants. The Group has no impact of these amendments in its classification criteria of current and non-current liabilities.
2. Ind AS 7, Statement of Cash Flows and Ind AS 107, Financial Instruments - Disclosures, applicable w.e.f April 1, 2025 – The amendment in Ind AS 7 requires to inform users of financial statements of the existence of supplier finance arrangements and explain the nature of the arrangements, the carrying amount of liabilities and the range of payment due dates. Ind AS 107 has been amended to add supplier finance arrangements as a factor that may cause concentration of liquidity risk. The Group has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.

3. Ind AS 12, International Tax Reform – Pillar Two Model Rules applicable immediately - The amendments provide a temporary mandatory relief from deferred tax accounting for top-up tax and disclose that they have applied the relief. This relief is immediate and applies retrospectively (Refer note 17).

7) Business combinations

The Group accounts for its business combinations under acquisition method of accounting. Acquisition related costs are recognised in the consolidated statement of profit and loss as incurred. The acquiree's identifiable assets, liabilities and contingent liabilities that meet the condition for recognition are recognised at their fair values at the acquisition date.

Purchase consideration paid in excess of the fair value of net assets acquired is recognised as goodwill. Where the fair value of identifiable assets and liabilities exceed the cost of acquisition, after reassessing the fair values of the net assets and contingent liabilities, the excess is recognised as capital reserve.

The interest of non-controlling shareholders is initially measured either at fair value or at the non-controlling interests' proportionate share of the acquiree's identifiable net assets. The choice of measurement basis is made on an acquisition-by-acquisition basis. Subsequent to acquisition, the carrying amount of non-controlling interests is the amount of those interests at initial recognition plus the non-controlling interests' share of subsequent changes in equity of subsidiaries.

Business combinations arising from transfers of interests in entities that are under common control are accounted at historical cost. The difference between any consideration given and the aggregate historical carrying amounts of assets and liabilities of the acquired entity is recorded in shareholders' equity.

Acquisition that does not meet the definition of 'business' in accordance with Ind AS 103 - Business Combinations is treated as acquisition of assets.

(a) Acquisition of ListEngage Midco, LLC

On October 10, 2025, the Company acquired 100% ownership interest of ListEngage Midco, LLC along with its subsidiary ListEngage LLC, limited liability companies in Delaware and leading Salesforce summit partner, for a consideration of $69 million (₹612 crore). ListEngage is a full stack Salesforce partner that specialises in Marketing Cloud, CRM, Data Cloud, Agentforce, and AI advisory services for enterprises. This strategic acquisition strengthens TCS' Salesforce capabilities, adding specialisations across the full range of Salesforce marketing tools. The consideration includes $4 million (₹40 crore), the payment of which is contingent upon achievement of certain key performance indicators as set out in the agreement to be achieved over a period of two years and the fair value of which is $4 million (₹38 crore) on initial recognition. The excess of purchase consideration over net assets has been provisionally recognised as goodwill amounting to $57 million (₹514 crore). The resultant goodwill is non-tax deductible.

Purchase consideration paid for this acquisition has been allocated as follows:

	(₹ crore)
Net assets acquired, at fair value	
Cash and cash equivalents	16
Net assets other than cash and cash equivalents	6
Fair value of net assets as on date of acquisition	**22**
Intangible assets	96
Deferred tax liabilities on intangible assets	(20)
Goodwill	514
Purchase consideration	**612**

The Group is in the process of making a final determination of purchase price allocation, including fair value of assets and liabilities which may result into adjustments in the value of certain assets and liabilities.

In addition to the purchase consideration, $11 million (₹100 crore) is payable to certain employees over a period of two years. Payment of this amount is contingent upon these employees continuing to be the employees of the Group and achievement of certain key performance indicators. This consideration is being accounted for as post acquisition employee benefits expense.

Revenues and net profit of the acquiree included in the consolidated financial statements and proforma revenue and net profit information since April 1, 2025 have not been presented because the amounts are immaterial.

(b) Acquisition of Coastal Cloud Holdings, LLC

On January 14, 2026, ListEngage Midco, LLC, a wholly owned subsidiary of the Company, acquired 100% of the ownership interest of Coastal Cloud Holdings, LLC along with its subsidiaries ("Coastal Cloud") for a consideration of $707 million (₹6,386 crore) in the following manner:

* Trident LE, LLC, a wholly owned subsidiary of ListEngage Midco, LLC merged with and into Coastal Cloud Holdings, LLC with Coastal Cloud Holdings, LLC continuing as the surviving company; this represented the acquisition of 86% of the ownership interest in Coastal Cloud.

* TCS North America Corporation, a wholly owned subsidiary of ListEngage Midco, LLC, acquired the remaining 14% of the ownership interest in Coastal Cloud through acquisition of 100% of the ownership interest in SCP V-B Blocker III LLC.

Coastal Cloud is a leading multi-cloud Salesforce consulting firm, specializing in enterprise-scale transformations. They bring AI-led advisory and business consulting capabilities to help customers reimagine Sales, Service, Marketing, Revenue, CPQ, Commerce and Salesforce Data Cloud. As a Salesforce Summit Partner, Coastal Cloud excels in building deep customer relationships and partnerships.

The consideration includes $9 million (₹84 crore), the payment of which is deferred over a period of two years and the fair value of which is $9 million (₹80 crore) on initial recognition. The excess of purchase consideration over net assets has been recognised as goodwill amounting to $682 million (₹6,161 crore). The resultant goodwill is non-tax deductible.

Purchase consideration paid for this acquisition has been allocated as follows:

	(₹ crore)
Net assets acquired, at fair value	
Trade receivables	132
Cash and cash equivalents	114
Net assets acquired other than cash and cash equivalents and trade receivables	(21)
Fair value of net assets acquired as on date of acquisition	**225**
Goodwill	6,161
Purchase consideration	**6,386**

The Group is in the process of making a final determination of purchase price allocation through independent valuer, including fair value of intangible assets (customer relationship intangibles, brand, etc.), other assets (other than cash and cash equivalents) and liabilities. The amounts recognised are based on information currently available and may result in changes to the fair values of assets and liabilities.

In addition to the purchase consideration, $23 million (₹208 crore) is payable to certain employees over a period of two years. Payment of this amount is contingent upon these employees continuing to be the employees of the Group and achievement of certain key performance indicators. This consideration is being accounted for as post acquisition employee benefits expense.

Proforma results for Coastal Cloud acquisition

The following proforma financial information presents the combined results of operations of Coastal Cloud as if the acquisition had occurred as of the beginning of the current reporting period. The proforma results for current reporting period presented include eliminations of inter-company transactions.

The proforma result is as follows for the fiscal year ended March 31, 2026:

	(₹ crore)
	Year ended March 31, 2026
Revenue	1,266
Net profit for the year	48

The proforma financial information is presented for informational purposes and is not indicative of the results of operations that may have been achieved if the acquisition had taken place at the beginning of the period presented.

Current year contribution by Coastal Cloud acquisition

The total revenue of the Group include ₹270 crore and net profit of the Group include net loss of ₹13 crore respectively as a contribution by the acquired entity.

8) Financial assets, financial liabilities and equity instruments

Financial assets and liabilities are recognised when the Group becomes a party to the contractual provisions of the instrument. Financial assets and liabilities are initially measured at fair value, except for trade receivables which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value measured on initial recognition of financial asset or financial liability.

The Group derecognises a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or have expired.

Cash and cash equivalents

The Group considers all highly liquid investments, which are readily convertible into known amounts of cash that are subject to an insignificant risk of change in value to be cash equivalents. Cash and cash equivalents consist of balances with banks and which are unrestricted for withdrawal and usage.

Financial assets at amortised cost

Financial assets are subsequently measured at amortised cost if these financial assets are held within a business whose objective is to hold these assets in order to collect contractual cash flows and the contractual terms of the financial assets give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at fair value through other comprehensive income

Financial assets are measured at fair value through other comprehensive income if these financial assets are held within a business whose objective is achieved by both collecting contractual cash flows on specified dates that are solely payments of principal and interest on the principal amount outstanding and selling financial assets.

The Group has made an irrevocable election to present subsequent changes in the fair value of equity investments not held for trading in other comprehensive income.

Financial assets at fair value through profit or loss

Financial assets are measured at fair value through profit or loss unless they are measured at amortised cost or at fair value through other comprehensive income on initial recognition. The transaction costs directly attributable to the acquisition of financial assets and liabilities at fair value through profit or loss are immediately recognised in statement of profit and loss.

Financial liabilities

Financial liabilities are measured at amortised cost using the effective interest method except for deferred contingent consideration recognised in a business combination and Class B compulsorily convertible preference shares which are subsequently measured at fair value through profit and loss.

Equity instruments

An equity instrument is a contract that evidences residual interest in the assets of the company after deducting all of its liabilities. Equity instruments issued by the Group are recognised at the proceeds received net of direct issue cost.

Derivative accounting

- **Instruments in hedging relationship**

The Group designates certain foreign exchange forward, currency options and futures contracts as hedge instruments in respect of foreign exchange risks. These hedges are accounted for as cash flow hedges.

The Group uses hedging instruments that are governed by the financial risk management policy as approved by the Risk Management Committee. The policy provides principles on the use of such financial derivatives consistent with the risk management strategy of the company and its subsidiaries. While determining the appropriate hedge ratio, the Group takes into consideration the prevailing macro-economic conditions, the availability and liquidity of the hedging instruments, tolerance levels for hedge ineffectiveness and the costs of hedging. The hedging activities are reviewed by the Risk Management Committee every quarter and future course of action is determined.

The hedge instruments are designated and documented as hedges at the inception of the contract. The Group determines the existence of an economic relationship between the hedging instrument and hedged item based on the currency, amount and timing of their respective cash flows. The effectiveness of hedge instruments to reduce the risk associated with the exposure being hedged is assessed and measured at inception and on an ongoing basis. If the hedged future cash flows are no longer expected to occur, then the amounts that have been accumulated in other equity are immediately reclassified in net foreign exchange gains in the statement of profit and loss.

The effective portion of change in the fair value of the designated hedging instrument is recognised in the other comprehensive income and accumulated under the heading cash flow hedging reserve.
The Group separates the intrinsic value and time value of an option and designates as hedging instruments only the change in intrinsic value of the option. The change in fair value of the intrinsic value and time value of an option is recognised in the other comprehensive income and accounted as a separate component of equity. Such amounts are reclassified into the statement of profit and loss when the related hedged items affect profit and loss.

Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or no longer qualifies for hedge accounting. Any gain or loss recognised in other comprehensive income and accumulated in equity till that time remains and is recognised in statement of profit and loss when the forecasted transaction ultimately affects profit and loss. Any gain or loss is recognised immediately in the statement of profit and loss when the hedge becomes ineffective.

- **Instruments not in hedging relationship**

The Group enters into contracts that are effective as hedges from an economic perspective, but they do not qualify for hedge accounting. The change in the fair value of such instrument is recognised in the statement of profit and loss.

Impairment of financial assets (other than at fair value)

The Group assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Group recognises lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. In determining the allowance for expected credit losses, the Group has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forward looking information. The expected credit loss allowance is based on the ageing of the receivables that are due and allowance rates used in the provision matrix. For all other financial assets, expected credit losses are measured at an amount equal to the 12-months expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

(a) Investments

Investments consist of the following:

Investments – Non-current

		(₹ crore)
	As at March 31, 2026	**As at March 31, 2025**
Investments designated at fair value through OCI		
Fully paid equity shares		
Mozido LLC (unquoted)	-	-
FCM LLC (unquoted)*	-	-
Taj Air Limited (unquoted)	-	-
Philippine Dealing System Holdings Corporation (unquoted)*	-	8
LATAM Airlines Group S.A. (quoted)	-	-
Investments carried at amortised cost		
Government bonds and securities (quoted)	132	186
Corporate bonds (quoted)	86	81
	218	**275**

Investments – Non-current includes ₹218 crore and ₹267 crore as at March 31, 2026 and 2025, respectively, pertaining to trusts held for specified purposes.

The Group has adjusted the impairment on investments carried out at fair value through OCI against the cost of such investments to disclose their respective fair values.

* Sold during the year ended March 31, 2026.

Investments – Current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Investments carried at fair value through profit or loss		
Mutual fund units (quoted)	4,692	2,903
Investments carried at fair value through OCI		
Government bonds and securities (quoted)	21,451	23,845
Corporate bonds and debentures (quoted)	4,709	3,929
Investments carried at amortised cost		
Corporate bonds (quoted)	64	12
Certificate of deposits (quoted)	1,790	-
Commercial papers (quoted)	1,064	-
	33,770	**30,689**

Investments – Current includes ₹279 crore and ₹79 crore as at March 31, 2026 and 2025, respectively, pertaining to trusts and TCS Foundation held for specified purposes.

Government bonds and securities includes bonds pledged with bank for credit facility amounting to ₹2,700 crore and ₹2,700 as at March 31, 2026 and 2025, respectively.

Aggregate value of quoted and unquoted investments is as follows:

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Aggregate value of quoted investments	33,988	30,957
Aggregate value of unquoted investments (net of impairment)	-	7
Aggregate market value of quoted investments	33,988	30,957

Market value of quoted investments carried at amortised cost is as follows:

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Government bonds and securities	132	186
Corporate bonds	150	93
Certificate of deposits	1,790	-
Commercial papers	1,064	-

Equity instruments designated at fair value through OCI are as follows:

(₹ crore)

In numbers	Currency	Face value per share	Equity instruments designated at fair value through OCI	As at March 31, 2026	As at March 31, 2025
			Fully paid equity shares		
1,00,00,000	USD	1	Mozido LLC (unquoted)	-	-
15	USD	5,00,000	FCM LLC (unquoted)*	-	-
1,90,00,000	INR	10	Taj Air Limited (unquoted)	-	-
5,00,000	PHP	100	Philippine Dealing System Holdings Corporation (unquoted)*	-	8
66,05,679	CLP	1	LATAM Airlines Group S.A. (quoted)	-	-
				-	**8**

* Sold during the year ended March 31, 2026.

The movement in fair value of investments carried / designated at fair value through OCI is as follows:

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	**655**	**235**
Net gain / (loss) arising on revaluation of investments in equities designated at fair value through other comprehensive income	35	(24)
Net cumulative loss reclassified to retained earnings on sale of financial assets carried at fair value	32	-
Net (loss) / gain arising on revaluation of investments other than equities carried at fair value through other comprehensive income	(870)	603
Deferred tax relating to net (loss) / gain arising on revaluation of investments other than equities carried at fair value through other comprehensive income	220	(152)
Net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	(196)	(10)
Deferred tax relating to net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	49	3
Balance at the end of the year	(75)	**655**

(b) Trade receivables – Billed

Trade receivables - Billed (unsecured) consist of the following:

Trade receivables - Billed – Non-current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Trade receivables - Billed	747	790
Less: Allowance for expected credit losses	(648)	(699)
Considered good	**99**	**91**

Ageing for trade receivables – non-current outstanding as at March 31, 2026 is as follows:

(₹ crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Not due	Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	-	-	-	-	162	549	**711**
Disputed trade receivables – considered good	-	-	-	2	3	31	**36**
	-	**-**	**-**	**2**	**165**	**580**	**747**
Less: Allowance for expected credit losses - Billed							(648)
							99
Trade receivables - Unbilled							114
							213

Ageing for trade receivables – non-current outstanding as at March 31, 2025 is as follows:

(₹ crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Not due	Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	-	-	-	3	145	612	**760**
Disputed trade receivables – considered good	-	-	-	1	2	27	**30**
	-	**-**	**-**	**4**	**147**	**639**	**790**
Less: Allowance for expected credit losses							(699)
							91
Trade receivables - Unbilled							38
							129

Trade receivables - Billed – Current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Trade receivables - Billed	57,874	50,383
Less: Allowance for expected credit losses	(391)	(344)
Considered good	**57,483**	**50,039**
Trade receivables - Billed	393	364
Less: Allowance for expected credit losses	(246)	(261)
Credit impaired	**147**	**103**
	57,630	**50,142**

Ageing for trade receivables – current outstanding as at March 31, 2026 is as follows:

(₹ crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Not due	Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	46,316	5,688	1,228	4,301	205	85	**57,823**
Undisputed trade receivables – credit impaired	15	38	12	53	65	210	**393**
Disputed trade receivables – considered good	-	-	-	48	2	1	**51**
	46,331	**5,726**	**1,240**	**4,402**	**272**	**296**	**58,267**
Less: Allowance for expected credit losses							(637)
							57,630
Trade receivables - Unbilled							10,084
							67,714

Ageing for trade receivables – current outstanding as at March 31, 2025 is as follows:

(₹ crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Not due	Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	39,659	6,932	2,779	714	12	198	**50,294**
Undisputed trade receivables – credit impaired	-	7	37	66	74	180	**364**
Disputed trade receivables – considered good	13	42	16	-	18	-	**89**
	39,672	**6,981**	**2,832**	**780**	**104**	**378**	**50,747**
Less: Allowance for expected credit losses							(605)
							50,142
Trade receivables - Unbilled							8,904
							59,046

Above balances of trade receivables – billed include balances with related parties (Refer note 22).

(c) Cash and cash equivalents

Cash and cash equivalents consist of the following:

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Balances with banks		
In current accounts	3,193	3,421
In deposit accounts	3,217	4,907
Cheques on hand	-*	-*
Cash on hand	-*	-*
Remittances in transit	7	14
	6,417	**8,342**

*Represents value less than ₹0.50 crore.

Balances with banks in current accounts include ₹12 crore and ₹11 crore as at March 31, 2026 and 2025, respectively, pertaining to trusts held for specified purposes.

(d) Other balances with banks

Other balances with banks consist of the following:

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Earmarked balances with banks	609	906
Short-term bank deposits	5,882	6,215
	6,491	**7,121**

Earmarked balances with banks primarily relate to margin money for purchase of investments, unclaimed dividends and liquidity backstop as a part of regulatory requirements.

Short-term bank deposits include ₹2,289 crore and ₹1,595 crore as at March 31, 2026 and 2025, respectively, pertaining to TCS Foundation held for specified purposes.

(e) Loans

Loans (unsecured) consist of the following:

Loans – Non-current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Considered good		
Inter-corporate deposits	750	-
Loans to employees	2	2
Other loans	23	23
	775	**25**

Inter-corporate deposits yield fixed interest rate and are placed with financial institutions (related parties), who are authorised to accept and use such inter-corporate deposits as per regulations applicable to them.

Loans – Current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Considered good		
Inter-corporate deposits	750	-
Loans to employees	5	6
Other loans	904	3
	1,659	**9**

Inter-corporate deposit yield fixed interest rate and is placed with financial institutions (related party), who is authorised to accept and use such inter-corporate deposits as per regulations applicable to them.

Other loans include reverse repo of ₹900 crore and NIL as at March 31, 2026 and 2025 respectively. Reverse repo are secured against Central Government securities and Treasury Bills, bearing an average interest rate of 6.65% per annum, with an overnight tenure, with a calendar maturity of 3 days. They are excluded from disclosures under Section 186 of Companies Act, 2013.

Disclosures pursuant to Regulation 34(3) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and Section 186 of the Companies Act, 2013.

(₹ crore)

Particular of Loans given, Investment made or Guarantee given	Name of entity	Purpose for which the loan or guarantee is proposed to be utilised by the recipient	As at March 31, 2026	As at March 31, 2025
Inter-corporate deposits	Tata Capital Limited	For managing working capital requirements	1,000	-
	Tata Capital Housing Finance Limited	For managing working capital requirements	500	-

(f) Other financial assets

Other financial assets consist of the following:

Other financial assets – Non-current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Security deposits	1,002	770
Earmarked balances with banks	297	250
Long-term bank deposits	1,334	1,709
Interest receivable	44	2
Advance towards acquisition of investment	250	-
Fair value of call option	17	-
	2,944	**2,731**

Other financial assets – Current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Security deposits	207	343
Fair value of foreign exchange derivative assets	292	438
Interest receivable	772	888
Advances to employees	319	333
Less: Allowance for advances to employees	(62)	(53)
Others	305	793
	1,833	**2,742**

Long-term bank deposits include ₹730 crore and ₹1,130 crore as at March 31, 2026 and 2025, respectively, pertaining to TCS Foundation held for specified purposes.

Interest receivable includes ₹148 crore and ₹185 crore as at March 31, 2026 and 2025, respectively, pertaining to trusts and TCS Foundation held for specified purposes.

(g) Trade payables

Ageing for trade payables outstanding as at March 31, 2026 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment				Total
		Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade payables						
MSME*	136	-	-	-	-	136
Others	1,932	1,311	3,859	388	42	7,532
Disputed dues - Others	-	-	-	-	30	30
	2068	**1311**	**3,859**	**388**	**72**	**7,698**
Accrued expenses						**7,110**
						14,808

*MSME as per the Micro, Small and Medium Enterprises Development Act, 2006

Ageing for trade payables outstanding as at March 31, 2025 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment				Total
		Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade payables						
MSME*	157	-	-	-	-	157
Others	1,404	5,597	423	8	36	7,468
Disputed dues - Others	2	-	-	-	30	32
	1563	**5597**	**423**	**8**	**66**	**7,657**
Accrued expenses						**6,252**
						13,909

*MSME as per the Micro, Small and Medium Enterprises Development Act, 2006

(h) Other financial liabilities

Other financial liabilities consist of the following:

Other financial liabilities – Non-current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Capital creditors	-	60
Liabilities towards customer contracts	202	316
Deferred consideration on acquisition of subsidiaries (Refer note 7)	56	-
Others	330	304
	588	**680**

Others include advance taxes paid of ₹226 crore and ₹226 crore as at March 31, 2026 and 2025, respectively, by the seller of TCS e-Serve Limited (merged with the Company) which, on refund by tax authorities, is payable to the seller.

Other financial liabilities – Current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Accrued payroll	7,532	5,456
Unclaimed dividends	63	60
Fair value of foreign exchange derivative liabilities	555	157
Capital creditors	536	721
Liabilities towards customer contracts	1,301	1,314
Liabilities towards acquisition of assets (Refer note 21)	3	557
Deferred consideration on acquisition of subsidiaries (Refer note 7)	62	-
Others	1,142	277
	11,194	**8,542**

Others include liabilities for forward contract settlements of ₹670 crore and ₹30 crore as at March 31, 2026 and 2025, respectively.

(i) Financial instruments by category

The carrying value of financial instruments by categories as at March 31, 2026 is as follows:

(₹ crore)

	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	6,417	6,417
Bank deposits	-	-	-	-	7,216	7,216
Earmarked balances with banks	-	-	-	-	906	906
Investments	4,692	26,160	-	-	3,136	33,988
Trade receivables						
Billed	-	-	-	-	57,729	57,729
Unbilled	-	-	-	-	10,198	10,198
Loans	-	-	-	-	2,434	2,434
Other financial assets	17	-	39	253	2,837	3,146
	4,709	**26,160**	**39**	**253**	**90,873**	**1,22,034**
Financial liabilities						
Trade payables	-	-	-	-	14,808	14,808
Lease liabilities	-	-	-	-	11,283	11,283
Other financial liabilities	38	-	-	555	11,189	11,782
Class B compulsorily convertible preference shares	126	-	-	-	-	126
	164	**-**	**-**	**555**	**37,280**	**37,999**

Loans include inter-corporate deposits of ₹1,500 crore with original maturity of maximum 24 months and reverse repo of ₹900 crore with an overnight tenure, with a calendar maturity of 3 days.

The carrying value of financial instruments by categories as at March 31, 2025 is as follows:

(₹ crore)

	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	8,342	8,342
Bank deposits	-	-	-	-	7,924	7,924
Earmarked balances with banks	-	-	-	-	1,156	1,156
Investments	2,903	27,782	-	-	279	30,964
Trade receivables						
Billed	-	-	-	-	50,233	50,233
Unbilled	-	-	-	-	8,942	8,942
Loans	-	-	-	-	34	34
Other financial assets	-	-	33	405	3,076	3,514
	2,903	**27,782**	**33**	**405**	**79,986**	**1,11,109**
Financial liabilities						
Trade payables	-	-	-	-	13,909	13,909
Lease liabilities	-	-	-	-	9,392	9,392
Other financial liabilities	-	-	-	157	9,065	9,222
	-	**-**	**-**	**157**	**32,366**	**32,523**

Carrying amounts of cash and cash equivalents, trade receivables, loans and trade payables as at March 31, 2026 and 2025, approximate the fair value due to their nature. Carrying amounts of bank deposits, earmarked balances with banks, other financial assets and other financial liabilities which are subsequently measured at amortised cost also approximate the fair value due to their nature in each of the periods presented. Fair value measurement of lease liabilities is not required. Fair value of investments carried at amortised cost is ₹3,129 crore and ₹279 crore as at March 31, 2026 and 2025, respectively.

(j) Fair value hierarchy

The fair value hierarchy is based on inputs to valuation techniques that are used to measure fair value that are either observable or unobservable and consists of the following three levels:

- Level 1 — Inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 — Inputs are other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 — Inputs are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data.

The cost of unquoted investments included in Level 3 of fair value hierarchy approximate their fair value because there is a wide range of possible fair value measurements and the cost represents estimate of fair value within that range.

The following table summarises financial assets and liabilities measured at fair value on a recurring basis and financial assets that are not measured at fair value on a recurring basis (but fair value disclosures are required):

(₹ crore)

As at March 31, 2026	Level 1	Level 2	Level 3	Total
Financial assets				
Mutual fund units	4,692	-	-	4,692
Government bonds and securities	21,578	-	-	21,578
Corporate bonds and debentures	4,859	-	-	4,859
Certificate of deposits	1,790	-	-	1,790
Commercial papers	1,064	-	-	1,064
Fair value of foreign exchange derivative assets	-	292	-	292
Fair value of call option	-	-	17	17
	33,983	**292**	**17**	**34,292**
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	555	-	555
Class B compulsorily convertible preference shares			126	126
Deferred consideration on acquisition of subsidiaries (Refer note 7)	-	-	38	38
	-	**555**	**164**	**681**

(₹ crore)

As at March 31, 2025	Level 1	Level 2	Level 3	Total
Financial assets				
Mutual fund units	2,903	-	-	2,903
Equity shares	1	-	7	8
Government bonds and securities	24,031	-	-	24,031
Corporate bonds and debentures	4,022	-	-	4,022
Fair value of foreign exchange derivative assets	-	438	-	438
	30,957	**438**	**7**	**31,402**
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	157	-	157
	-	**157**	**-**	**157**

Reconciliation of Level 3 fair value measurement of financial assets is as follows:

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	**7**	**31**
Additions during the year	17	-
Change in fair value of investments	40	-
Impairment in value of investments	-	(24)
Disposal during the year	(47)	-
Balance at the end of the year	**17**	**7**

If the volatility increases / decreases by 1%, the fair value of call option would increase / (decrease) as follows:

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Increase of 1%	3	-
Decrease of 1%	(3)	-

If the risk free interest rate increases / decreases by 0.50%, the fair value of call option would increase / (decrease) as follows:

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Increase of 0.50%	1	-
Decrease of 0.50%	(1)	-

Following table describes the valuation techniques used and key inputs thereto for the level 3 financial assets:

Financial assets	Valuation technique	Significant unobservable input	Significant unobservable input range		Inter-relationship between significant unobservable input and fair value measurement
			As at March 31, 2026	As at March 31, 2025	
Call option	Black-Scholes Option Pricing Model	Volatility of the property price	20.00%	-	The estimated fair value of call option will Increase / (decrease) if the volatility of the property price is higher / (lower)
		Risk free interest rate	5.87%	-	The estimated fair value of call option will Increase / (decrease) if the risk free interest rate is higher / (lower)

Reconciliation of Level 3 fair value measurement of financial liabilities is as follows:

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	-	-
Additions during the year	164	-
Balance at the end of the year	**164**	**-**

The fair valuation is determined based on present value of deferred consideration and risk free discount rates using net present value method. There were no significant inter-relationship between unobservable inputs that materially affects fair value. If the risk free discount rate increases or decreases by 1%, the impact on the net present value will not be material.

(k) Derivative financial instruments and hedging activity

The Group's revenue is denominated in various foreign currencies. Given the nature of the business, a large portion of the costs are denominated in Indian Rupee. This exposes the Group to currency fluctuations.

The Board of Directors has constituted a Risk Management Committee (RMC) to frame, implement and monitor the risk management plan of the Group which inter-alia covers risks arising out of exposure to foreign currency fluctuations. Under the guidance and framework provided by the RMC, the Group uses various derivative instruments such as foreign exchange forward, currency options and futures contracts in which the counter party is generally a bank.

The following are outstanding currency options contracts, which have been designated as cash flow hedges:

	As at March 31, 2026			As at March 31, 2025		
Foreign currency	**No. of contracts**	**Notional amount of contracts (In million)**	**Fair value (₹ crore)**	**No. of contracts**	**Notional amount of contracts (In million)**	**Fair value (₹ crore)**
US Dollar	12	300	2	-	-	-
Great Britain Pound	22	215	22	23	220	18
Euro	22	215	15	25	235	15

The movement in cash flow hedging reserve for derivatives designated as cash flow hedges is as follows:

(₹ crore)

	Year ended March 31, 2026		Year ended March 31, 2025	
	Intrinsic value	**Time value**	**Intrinsic value**	**Time value**
Balance at the beginning of the year	**9**	**(24)**	**9**	**(18)**
(Gain) / loss transferred to profit and loss on occurrence of forecasted hedge transactions	(15)	299	(193)	234
Deferred tax on (gain) / loss transferred to profit and loss on occurrence of forecasted hedge transactions	4	(75)	48	(60)
Change in the fair value of effective portion of cash flow hedges	6	(299)	194	(243)
Deferred tax on change in the fair value of effective portion of cash flow hedges	(2)	75	(49)	63
Balance at the end of the year	**2**	**(24)**	**9**	**(24)**

The Group has entered into derivative instruments not in hedging relationship by way of foreign exchange forward, currency options and futures contracts. As at March 31, 2026 and 2025, the notional amount of outstanding contracts aggregated to ₹66,475 crore and ₹65,004 crore, respectively, and the respective fair value of these contracts have a net loss of ₹302 crore and gain of ₹248 crore.

Exchange loss of ₹2,771 crore and ₹488 crore on foreign exchange forward, currency options and futures contracts that do not qualify for hedge accounting have been recognised in the consolidated statement of profit and loss for the years ended March 31, 2025 and 2024, respectively.

Net foreign exchange gain / (loss) includes loss of ₹284 crore and ₹41 crore transferred from cash flow hedging reserve to the consolidated statement of profit and loss on occurrence of forecasted hedge transactions for the years ended March 31, 2026 and 2025, respectively.

Net loss on derivative instruments of ₹21 crore recognised in cash flow hedging reserve as at March 31, 2026, is expected to be transferred to the statement of profit and loss by March 31, 2027. The maximum period over which the exposure to cash flow variability has been hedged is through calendar year 2026.

Following table summarises approximate gain / (loss) on Group's other comprehensive income on account of appreciation / depreciation of the underlying foreign currencies:

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
10% appreciation of the underlying foreign currencies	2	-
10% depreciation of the underlying foreign currencies	665	437

(I) Financial risk management

The Group is exposed primarily to fluctuations in foreign currency exchange rates, credit, liquidity and interest rate risks, which may adversely impact the fair value of its financial instruments. The Group has a risk management policy which covers risks associated with the financial assets and liabilities. The risk management policy is approved by the Board of Directors. The focus of the risk management committee is to assess the unpredictability of the financial environment and to mitigate potential adverse effects on the financial performance of the Group.

Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Such changes in the values of financial instruments may result from changes in the foreign currency exchange rates, interest rates, credit, liquidity and other market changes. The Group's exposure to market risk is primarily on account of foreign currency exchange rate risk.

- **Foreign currency exchange rate risk**

The fluctuation in foreign currency exchange rates may have potential impact on the consolidated statement of profit and loss and other comprehensive income and equity, where any transaction references more than one currency or where assets / liabilities are denominated in a currency other than the functional currency of the respective entities. Considering the countries and economic environment in which the Group operates, its operations are subject to risks arising from fluctuations in exchange rates in those countries.

The Group, as per its risk management policy, uses derivative instruments primarily to hedge foreign exchange. Further, any movement in the functional currencies of the various operations of the Group against major foreign currencies may impact the Group's revenue in international business.

The Group evaluates the impact of foreign exchange rate fluctuations by assessing its exposure to exchange rate risks. It hedges a part of these risks by using derivative financial instruments in line with its risk management policies.

The foreign exchange rate sensitivity is calculated by aggregation of the net foreign exchange rate exposure and a simultaneous parallel foreign exchange rates shift of all the currencies by 10% against the respective functional currencies of Tata Consultancy Services Limited and its subsidiaries.

The following analysis has been worked out based on the net exposures for each of the subsidiaries and Tata Consultancy Services Limited as of the date of balance sheet which could affect the statement of profit and loss and other comprehensive income and equity. Further the exposure as indicated below is mitigated by some of the derivative contracts entered into by the Group as disclosed in note 8(k).

The following table sets forth information relating to unhedged foreign currency exposure as at March 31, 2026:

(₹ crore)

	USD	EUR	GBP	Others
Net financial assets	2,305	674	256	2,554
Net financial liabilities	(11,472)	(132)	(726)	(588)

10% appreciation / depreciation of the respective functional currency of Tata Consultancy Services Limited and its subsidiaries with respect to various foreign currencies would result in increase / decrease in the Group's profit before taxes by approximately ₹713 crore for the year ended March 31, 2026.

The following table sets forth information relating to unhedged foreign currency exposure as at March 31, 2025:

(₹ crore)

	USD	EUR	GBP	Others
Net financial assets	2,572	429	115	1,963
Net financial liabilities	(3,557)	(8)	(337)	(347)

10% appreciation / depreciation of the respective functional currency of Tata Consultancy Services Limited and its subsidiaries with respect to various foreign currencies would result in increase / decrease in the Group's profit before taxes by approximately ₹83 crore for the year ended March 31, 2025.

- **Interest rate risk**

The Group's investments are primarily in fixed rate interest bearing investments. Hence, the Group is not significantly exposed to interest rate risk.

Credit risk

Credit risk is the risk of financial loss arising from counterparty failure to repay or service debt according to the contractual terms or obligations. Credit risk encompasses of both, the direct risk of default and the risk of deterioration of creditworthiness as well as concentration of risks. Credit risk is controlled by analysing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit. Refer note 5 for methods, assumptions and information used to measure expected credit losses.

Financial instruments that are subject to credit risk consist of trade receivables, loans, investments, derivative financial instruments, cash and cash equivalents, bank deposits and other financial assets. Loans include inter-corporate deposits of ₹1,500 crore placed with financial institutions having a high credit-rating assigned by credit-rating agencies as at March 31, 2026 and NIL as at March 31, 2025, respectively. Loans also include reverse repo of ₹900 crore and NIL as at March 31, 2026 and 2025, respectively. Bank deposits include an amount of ₹7,193 crore held with three banks and ₹7,884 crore held with three banks, having high credit rating which are individually in excess of 10% or more of the Group total bank deposits as at March 31, 2026 and 2025, respectively. None of the other financial instruments of the Group result in material concentration of credit risk.

- **Exposure to credit risk**

The carrying amount of financial assets and contract assets represents the maximum credit exposure. The maximum exposure to credit risk was ₹1,29,980 crore and ₹1,17,629 crore as at March 31, 2026 and 2025, respectively, being the total of the carrying amount of balances with banks, bank deposits, investments, trade receivables, loans, contract assets and other financial assets.

The Group's exposure to customers is diversified and no single customer contributes to more than 10% of outstanding trade receivables and contract assets as at March 31, 2026 and 2025.

Geographic concentration of credit risk

Geographic concentration of trade receivables (gross and net of allowances) and contract assets is as follows:

	As at March 31, 2026		As at March 31, 2025	
	Gross%	Net%	Gross%	Net%
United States of America	34.47	34.81	35.40	35.87
India	20.58	19.54	22.51	21.38
United Kingdom	14.54	14.75	14.72	14.97
Europe	14.72	14.96	13.27	13.52

Geographical concentration of trade receivables (gross and net of allowances) and contract assets is allocated based on the location of the customers.

The allowance for lifetime expected credit losses on trade receivables for the year ended March 31, 2026 and 2025 was ₹163 crore and ₹112 crore respectively. The reconciliation of allowance for expected credit losses is as follows:

		(₹ crore)
	Year ended March 31, 2026	**Year ended March 31, 2025**
Balance at the beginning of the year	**1,304**	**1,190**
Change during the year	163	112
Bad debts written off	(211)	(2)
Translation exchange difference	29	4
Balance at the end of the year	**1,285**	**1,304**

Liquidity risk

Liquidity risk refers to the risk that the Group cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements. The Group consistently generated sufficient cash flows from operations to meet its financial obligations including lease liabilities as and when they fall due.

The tables below provide details regarding the contractual maturities of significant financial liabilities as at:

					(₹ crore)
March 31, 2026	**Due in 1st year**	**Due in 2nd year**	**Due in 3rd to 5th year**	**Due after 5th year**	**Total**
Non-derivative financial liabilities					
Trade payables	14,808	-	-	-	14,808
Lease liabilities	2,074	1,862	4,316	4,966	13,218
Class B compulsorily convertible preference shares	-	-	-	126	126
Other financial liabilities	10,639	203	355	30	11,227
	27,521	2,065	4,671	5,122	39,379
Derivative financial liabilities	555	-	-	-	555
	28,076	**2,065**	**4,671**	**5,122**	**39,934**

					(₹ crore)
March 31, 2025	**Due in 1st year**	**Due in 2nd year**	**Due in 3rd to 5th year**	**Due after 5th year**	**Total**
Non-derivative financial liabilities					
Trade payables	13,909	-	-	-	13,909
Lease liabilities	2,077	1,830	3,782	4,359	12,048
Other financial liabilities	8,385	231	447	1	9,064
	24,371	**2,061**	**4,229**	**4,360**	**35,021**
Derivative financial liabilities	157	-	-	-	157
	24,528	**2,061**	**4,229**	**4,360**	**35,178**

(m) Equity instruments

The authorised, issued, subscribed and fully paid up share capital consist of the following:

	As at March 31, 2026	As at March 31, 2025
		(₹ crore)
Authorised		
460,05,00,000 equity shares of ₹1 each (March 31, 2025: 460,05,00,000 equity shares of ₹1 each)	460	460
105,02,50,000 preference shares of ₹1 each (March 31, 2025: 105,02,50,000 preference shares of ₹1 each)	105	105
	565	**565**
Issued, Subscribed and Fully paid up		
361,80,87,518 equity shares of ₹1 each (March 31, 2025: 361,80,87,518 equity shares of ₹1 each)	362	362
	362	**362**

The Company's objective for capital management is to maximise shareholder value, safeguard business continuity and support the growth of the Company. The Company determines the capital requirement based on annual operating plans and long-term and other strategic investment plans. The funding requirements are primarily met through equity and operating cash flows generated. The Company is not subject to any externally imposed capital requirements.

I. Reconciliation of number of shares

	Year ended March 31, 2026		Year ended March 31, 2025	
	Number of shares	Amount (₹ crore)	Number of shares	Amount (₹ crore)
Equity shares				
Opening balance	**361,80,87,518**	**362**	**361,80,87,518**	**362**
Change during the year	-	-	-	-
Closing balance	**361,80,87,518**	**362**	**361,80,87,518**	**362**

II. Rights, preferences and restrictions attached to shares

The Company has one class of equity shares having a par value of ₹1 each. Each shareholder is eligible for one vote per share held and carry a right to dividend. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend. In the event of liquidation, the equity shareholders are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding.

III. Shares held by Holding company, its Subsidiaries and Associates

	As at March 31, 2026	As at March 31, 2025
		(₹ crore)
Equity shares		
Holding company		
259,54,99,419 equity shares (March 31, 2025: 259,54,99,419 equity shares) are held by Tata Sons Private Limited	260	260
Subsidiaries and Associates of Holding company		
7,220 equity shares (March 31, 2025: 7,220 equity shares) are held by Tata Industries Limited*	-	-
10,04,425 equity shares (March 31, 2025: 10,04,425 equity shares) are held by Tata Investment Corporation Limited*	-	-
46,798 equity shares (March 31, 2025: 46,798 equity shares) are held by Tata Steel Limited*	-	-
766 equity shares (March 31, 2025: 766 equity shares) are held by The Tata Power Company Limited*	-	-
	260	**260**

*Equity shares having value less than ₹0.50 crore

IV. Details of shares held by shareholders holding more than 5% of the aggregate shares in the Company

	As at March 31, 2026	As at March 31, 2025
Equity shares		
Tata Sons Private Limited, the holding company	259,54,99,419	259,54,99,419
% of shareholding	71.74%	71.74%

V. Equity shares movement during five years preceding March 31, 2026

- **Equity shares extinguished on buy-back**

The Company bought back 4,09,63,855 equity shares for an aggregate amount of ₹17,000 crore being 1.12% of the total paid up equity share capital at ₹4,150 per equity share. The equity shares bought back were extinguished on December 13, 2023.

The Company bought back 4,00,00,000 equity shares for an aggregate amount of ₹18,000 crore being 1.08% of the total paid up equity share capital at ₹4,500 per equity share. The equity shares bought back were extinguished on March 29, 2022.

The Company bought back 5,33,33,333 equity shares for an aggregate amount of ₹16,000 crore being 1.42% of the total paid up equity share capital at ₹3,000 per equity share. The equity shares bought back were extinguished on January 6, 2021.

VI. Disclosure of shareholding of promoters

Disclosure of shareholding promoters as of March 31, 2026 is as follows:

Promoter name	Shares held by promoters				% Change during the year
	As at March 31, 2026		As at March 31, 2025		
	No. of shares	% of total shares	No. of shares	% of total shares	
Tata Sons Private Limited	2,595,499,419	71.74%	2,595,499,419	71.74%	-
Total	**2,595,499,419**	**71.74%**	**2,595,499,419**	**71.74%**	**-**

Disclosure of shareholding promoters as of March 31, 2025 is as follows:

Promoter name	Shares held by promoters				% Change during the year
	As at March 31, 2025		As at March 31, 2024		
	No. of shares	% of total shares	No. of shares	% of total shares	
Tata Sons Private Limited	2,595,499,419	71.74%	2,595,499,419	71.74%	-
Total	**2,595,499,419**	**71.74%**	**2,595,499,419**	**71.74%**	**-**

(n) Terms of conversion / redemption of issue of Class B compulsorily convertible preference shares

(i) March 31, 2026: 1,26,12,745 (March 31, 2025:NIL) Class B compulsorily convertible preference shares (Class B CCPS) are issued on private placement basis bearing a face value of ₹100 each. The term of the Class B CCPS shall be the period commencing from the date of allotment and ending on earlier of the date of conversion of Class B as specified in Shareholders' agreement or 20 years from the date of issuance of the Class B CCPS. The rate of dividend shall be 0.00001% p.a. on the face value of Class B CCPS and it shall be a fixed non-cumulative dividend.

(ii) Voting Rights: Class B CCPS shall not carry any voting rights until conversion into equity shares.

(iii) Conversion terms: The conversion ratio of the Class B CCPS for their conversion shall be determined in accordance with the provision specified in Shareholders' agreement and shall be crystallised and frozen upon the earlier of (a) provisions specified in Shareholders' agreement and (b) the expiry of 20 years from the date of issuance of the Class B CCPS.

9) Leases

A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a lessee

The Group accounts for each lease component within the contract as a lease separately from non-lease components of the contract and allocates the consideration in the contract to each lease component on the basis of the relative standalone price of the lease component and the aggregate standalone price of the non-lease components.

The Group recognises right-of-use asset representing its right to use the underlying asset for the lease term at the lease commencement date. The cost of the right-of-use asset measured at inception shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred and an estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset or restoring the underlying asset or site on which it is located. The right-of-use asset is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use asset is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. The estimated useful lives of right-of-use assets are determined on the same basis as those of property, plant and equipment. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognised in the statement of profit and loss.

The Group measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Group uses incremental borrowing rate. For leases with reasonably similar characteristics, the Group, on a lease-by-lease basis, may adopt either the incremental borrowing rate specific to the lease or the incremental borrowing rate for the portfolio as a whole. The lease payments shall include fixed payments, variable lease payments, residual value guarantees, exercise price of a purchase option where the Group is reasonably certain to exercise that option and payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made and remeasuring the carrying amount to reflect any reassessment or lease modifications or to reflect revised in-substance fixed lease payments. The Group recognises the amount of the re-measurement of lease liability due to modification as an adjustment to the right-of-use asset and statement of profit and loss depending upon the nature of modification. Where the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Group recognises any remaining amount of the re-measurement in statement of profit and loss.

The Group has elected not to apply the requirements of Ind AS 116 - Leases to short-term leases of all assets that have a lease term of 12 months or less and leases for which the underlying asset is of low value. The lease payments associated with these leases are recognised as an expense on a straight-line basis over the lease term.

Group as a lessor

At the inception of the lease the Group classifies each of its leases as either an operating lease or a finance lease. The Group recognises lease payments received under operating leases as income on a straight-line basis over the lease term. In case of a finance lease, finance income is recognised over the lease term based on a pattern reflecting a constant periodic rate of return on the lessor's net investment in the lease. When the Group is an intermediate lessor it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group applies the exemption described above, then it classifies the sub-lease as an operating lease.

If an arrangement contains lease and non-lease components, the Group applies Ind AS 115 - Revenue from contracts with customers to allocate the consideration in the contract.

The details of the right-of-use assets held by the Group are as follows:

(₹ crore)

	Additions for the year ended March 31, 2026	Net carrying amount as at March 31, 2026
Leasehold land	8	914
Buildings	3,902	9,828
Leasehold improvements	21	61
Computer equipment	114	174
Software licences	-	2
Vehicles	19	41
Office equipment	1	5
Furniture and fixtures	1	2
	4,066	**11,027**

(₹ crore)

	Additions for the year ended March 31, 2025	Net carrying amount as at March 31, 2025
Leasehold land	-	918
Buildings	3,238	8,087
Leasehold improvements	41	52
Computer equipment	-	144
Software licences	-	31
Vehicles	19	35
Office equipment	6	6
Furniture and fixtures	-	2
	3,304	**9,275**

Depreciation on right-of-use assets is as follows:

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
Leasehold land	12	12
Buildings#	1,709	1,687
Leasehold improvements	16	11
Computer equipment	79	60
Software licences	28	29
Vehicles	20	18
Office equipment	2	3
Furniture and fixtures	-*	-*
	1,866	**1,820**

*Represents value less than ₹0.50 crore.

#Out of this, directly attributable costs of ₹113 crore and NIL towards leasehold improvements have been transferred to capital work-in-progress for the year ended March 31, 2026 and 2025 respectively.

Changes in lease liabilities are as follows:

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	**9,392**	**8,021**
Additions during the year	3,844	3,026
Repayment of lease liabilities during the year	(1,861)	(1,664)
Other non-cash movement	(323)	8
Translation Exchange difference	231	1
Balance at the end of the year	**11,283**	**9,392**

Interest on lease liabilities is ₹778 crore and ₹631 crore for the years ended March 31, 2026 and 2025, respectively.

The Group incurred ₹427 crore and ₹343 crore for the years ended March 31, 2026 and 2025, respectively, towards expenses relating to short-term leases and leases of low-value assets.

The total cash outflow for leases is ₹3,175 crore and ₹2,715 crore for the years ended March 31, 2026 and 2025, respectively, including cash outflow for short term leases and leases of low-value assets

The Group has lease term extension options that are not reflected in the measurement of lease liabilities. The present value of future cash outflows for such extension periods is ₹1,041 crore and ₹943 crore as at March 31, 2026 and 2025, respectively.

Lease contracts entered by the Group majorly pertain for buildings taken on lease to conduct its business in the ordinary course.

The Group does not have any lease restrictions and commitment towards variable rent as per the contract.

10) Non-financial assets and non-financial liabilities

(a) Property, plant and equipment

The Group recognises the cost of an item of property, plant and equipment as an asset if, and only if it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can measured reliably.

Property, plant and equipment are stated at cost comprising of purchase price and any initial directly attributable cost of bringing the asset to its working condition for its intended use, less accumulated depreciation (other than freehold land) and impairment loss, if any.

Depreciation is provided for property, plant and equipment on a straight-line basis so as to expense the cost less residual value over their estimated useful lives as prescribed in Schedule II of the Companies Act, 2013 except in respect of certain categories of assets, where the useful life of the assets has been assessed based on a technical evaluation. The estimated useful lives and residual values are reviewed at the end of each reporting period, with the effect of any change in estimate accounted for on a prospective basis.
The estimated useful lives are as mentioned below:

Type of asset	Useful lives
Buildings	20 years*
Leasehold improvements	Lease term
Plant and equipment	10 years*
Computer equipment	4 years*
Vehicles	4 years*
Office equipment	2-5 years*
Electrical installations	4-10 years*
Furniture and fixtures	5 years*

*The Group believes that the technically evaluated useful lives, different from Schedule II of the Companies Act, 2013, best represent the period over which these assets are expected to be used.

Capital work-in-progress are stated at cost less impairment loss, if any. Depreciation is not recorded on capital work-in-progress until construction and installation are complete and the asset is ready for its intended use.

Property, plant and equipment with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

The carrying amount of an item of property, plant and equipment shall be derecognized on disposal or when no future economic benefits are expected from its use or disposal.

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Property, plant and equipment consist of the following:

(₹ crore)

	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2025	**1,955**	**8,752**	**2,790**	**993**	**14,948**	**53**	**3,160**	**2,329**	**2,297**	**37,277**
Additions	-	63	307	50	1,709	10	281	77	110	2,607
Acquisition through a business combination	-	-	-	-	1	-	-	-	-	1
Disposals	-	(7)	(91)	(7)	(1,171)	(4)	(109)	(33)	(37)	(1,459)
Translation exchange difference	4	13	118	3	496	-	53	33	62	782
Cost as at March 31, 2026	**1,959**	**8,821**	**3,124**	**1,039**	**15,983**	**59**	**3,385**	**2,406**	**2,432**	**39,208**
Accumulated depreciation as at April 1, 2025	**-**	**(4,572)**	**(2,139)**	**(628)**	**(12,380)**	**(39)**	**(2,743)**	**(1,857)**	**(1,941)**	**(26,299)**
Depreciation	-	(426)	(176)	(81)	(1,513)	(8)	(206)	(115)	(116)	(2,641)
Disposals	-	7	83	6	1,136	4	108	31	36	1,411
Translation exchange difference	-	(9)	(102)	(2)	(411)	-	(45)	(26)	(52)	(647)
Accumulated depreciation as at March 31, 2026	**-**	**(5,000)**	**(2,334)**	**(705)**	**(13,168)**	**(43)**	**(2,886)**	**(1,967)**	**(2,073)**	**(28,176)**
Net carrying amount as at March 31, 2026	**1,959**	**3,821**	**790**	**334**	**2,815**	**16**	**499**	**439**	**359**	**11,032**
Capital work-in-progress										2,665
Total										**13,697**

(₹ crore)

	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2024	**354**	**8,280**	**2,777**	**878**	**14,199**	**45**	**2,976**	**2,202**	**2,142**	**33,853**
Additions#	1,600	470	80	118	1,443	11	260	152	172	4,306
Disposals	-	(1)	(50)	(2)	(703)	(3)	(70)	(18)	(22)	(869)
Translation exchange difference	1	3	(17)	(1)	9	-	(6)	(7)	5	(13)
Cost as at March 31, 2025	**1,955**	**8,752**	**2,790**	**993**	**14,948**	**53**	**3,160**	**2,329**	**2,297**	**37,277**
Accumulated depreciation as at April 1, 2024	**-**	**(4,154)**	**(2,036)**	**(539)**	**(11,483)**	**(37)**	**(2,629)**	**(1,748)**	**(1,851)**	**(24,477)**
Depreciation	-	(417)	(171)	(91)	(1,585)	(5)	(188)	(131)	(107)	(2,695)
Disposals	-	1	50	2	700	3	70	18	22	866
Translation exchange difference	-	(2)	18	-	(12)	-	4	4	(5)	7
Accumulated depreciation as at March 31, 2025	**-**	**(4,572)**	**(2,139)**	**(628)**	**(12,380)**	**(39)**	**(2,743)**	**(1,857)**	**(1,941)**	**(26,299)**
Net carrying amount as at March 31, 2025	**1,955**	**4,180**	**651**	**365**	**2,568**	**14**	**417**	**472**	**356**	**10,978**
Capital work-in-progress#										1,546
Total										**12,524**

Including additions on account of acquisition of assets (Refer note 21).

- **Changes in Capital work-in-progress are as follows:**

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	**1,546**	**1,564**
Addition during the year*	3,713	2,688
Capitalised during the year	(2,607)	(2,706)
Translation exchange difference	13	-
Balance at the end of the year	**2,665**	**1,546**

* Including additions due to acquisition of assets during the year ended March 31, 2025 (Refer Note 21).

- **Capital work-in-progress ageing**

Ageing for capital-work-in-progress as at March 31, 2026 is as follows:

(₹ crore)

Capital work-in-progress	Amount in Capital work-in-progress for a period of				Total
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Projects in progress	1,669	631	176	189	2,665
	1,669	**631**	**176**	**189**	**2,665**

Ageing for capital-work-in-progress as at March 31, 2025 is as follows:

(₹ crore)

Capital work-in-progress	Amount in Capital work-in-progress for a period of				Total
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Projects in progress	1075	248	72	151	1,546
	1,075	**248**	**72**	**151**	**1,546**

Project execution plans are modulated basis capacity requirement assessment on an annual basis and all the projects are executed as per rolling plan.

(b) Goodwill

Goodwill represents the cost of acquired business as established at the date of acquisition of the business in excess of the acquirer's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities less accumulated impairment losses, if any. Goodwill is tested for impairment annually or when events or circumstances indicate that the implied fair value of goodwill is less than its carrying amount.

CGUs to which goodwill has been allocated are tested for impairment annually, or more frequently when there is indication for impairment. The financial projections basis which the future cash flows have been estimated consider economic uncertainties, reassessment of the discount rates, revisiting the growth rates factored while arriving at terminal value and subjecting these variables to sensitivity analysis. If the recoverable amount of a CGU is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro-rata on the basis of the carrying amount of each asset in the unit.

Goodwill consists of the following:

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Balance at the beginning of the year	**1,860**	**1,832**
Additional amount recognised from business combinations (Refer note 7)	6,675	-
Translation exchange difference	573	28
Balance at the end of the year	**9,108**	**1,860**

Goodwill of ₹6,161 crore and NIL as at March 31, 2026 and 2025, respectively on account of acquisition of Coastal Cloud Holdings, LLC and goodwill of ₹514 crore and NIL as at March 31, 2026 and 2025, respectively on account of acquisition of ListEngage Midco, LLC have been allocated to the business from Salesforce offerings (CGU). The estimated value-in-use of this CGU, as at March 31, 2026 is based on the future cash flows using a 2.50% annual growth rate for periods subsequent to the forecast period of 10 years and discount rate of 10.00%. An analysis of the sensitivity of the computation to a change in key parameters (operating margin, discount rates and long term average growth rate), based on reasonable assumptions, did not identify any probable scenario in which the recoverable amount of the CGU would decrease below its carrying amount.

Goodwill of ₹671 crore and ₹706 crore as at March 31, 2026 and 2025, respectively, has been allocated to the TCS business in France. The estimated value-in-use of this CGU as at March 31, 2026 is based on the future cash flows using a 1.50% annual growth rate for periods subsequent to the forecast period of 5 years and discount rate of 9.36%. An analysis of the sensitivity of the computation to a change in key parameters (operating margin, discount rates and long term average growth rate), based on reasonable assumptions, did not identify any probable scenario in which the recoverable amount of the CGU would decrease below its carrying amount.

The remaining amount of goodwill of ₹1,761 crore and ₹1,154 crore as at March 31, 2026 and 2025, respectively, (relating to different CGUs individually immaterial) has been evaluated based on the cash flow forecasts of the related CGUs and the recoverable amounts of these CGUs exceeded their carrying amounts.

(c) Other intangible assets

Intangible assets purchased including acquired in business combination, are measured at cost as at the date of acquisition, as applicable, less accumulated amortisation and accumulated impairment, if any.

Intangible assets consist of rights under licensing agreement and software licences and customer-related intangibles.

Following table summarises the nature of intangibles and their estimated useful lives:

Type of asset	Useful lives
Rights under licensing agreement and software licences	Lower of licence period and 1-5 years
Customer-related intangibles	3-7 years
Brand	5 years

Intangible assets are amortised on a straight-line basis over the period of its economic useful life.

Intangible assets with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

Intangible assets consist of the following:

(₹ crore)

	Rights under licensing agreement and software licences	Customer-related intangibles	Brand	Total
Cost as at April 1, 2025	**3,005**	**129**	**-**	**3,134**
Additions	79	-	-	79
Acquisition through a business combination	-*	84	12	96
Disposals / Derecognised	(1,940)	-	-	(1,940)
Translation exchange difference	20	15	-	35
Cost as at March 31, 2026	**1,164**	**228**	**12**	**1,404**
Accumulated amortisation as at April 1, 2025	**(2,065)**	**(129)**	**-**	**(2,194)**
Amortisation	(941)	-	-	(941)
Disposals / Derecognised	1,940	-	-	1,940
Translation exchange difference	(19)	(14)	-	(33)
Accumulated depreciation as at March 31, 2026	**(1,085)**	**(143)**	**-**	**(1,228)**
Net carrying amount as at March 31, 2026	**79**	**85**	**12**	**176**

*Represents value less than ₹0.50 crore.

(₹ crore)

	Rights under licensing agreement and software licences	Customer-related intangibles	Total
Cost as at April 1, 2024	**2,004**	**127**	**2,131**
Additions	1,156	-	1,156
Disposals / Derecognised	(159)	-	(159)
Translation exchange difference	4	2	6
Cost as at March 31, 2025	**3,005**	**129**	**3,134**
Accumulated amortisation as at April 1, 2024	**(1,494)**	**(127)**	**(1,621)**
Amortisation	(727)	-	(727)
Disposals / Derecognised	159	-	159
Translation exchange difference	(3)	(2)	(5)
Accumulated amortisation as at March 31, 2025	**(2,065)**	**(129)**	**(2,194)**
Net carrying amount as at March 31, 2025	**940**	**-**	**940**

The estimated amortisation for the years subsequent to March 31, 2026 is as follows:

(₹ crore)

Year ending March 31,	**Amortisation expense**
2027	70
2028	47
2029	27
2030	13
2031	7
Thereafter	12
	176

(d) Other assets

Other assets consist of the following:

Other assets – Non-current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Considered good		
Capital advances	378	180
Advances to related parties	105	226
Contract assets	572	295
Prepaid expenses	1,103	2,456
Contract fulfillment costs	193	297
Others	254	258
	2,605	**3,712**
Advances to related parties, considered good, comprise:		
Tata Realty and Infrastructure Limited	-	-*
Tata Projects Limited	101	224
Titan Engineering and Automation Limited	2	2
Universal MEP Projects & Engineering Services Limited	2	-*

*Represents value less than ₹0.50 crore.

Other assets – Current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Considered good		
Advance to suppliers	224	224
Advance to related parties	1,355	1,462
Contract assets	7,374	6,233
Prepaid expenses	2,432	2,383
Contract fulfillment costs	2,550	2,317
Indirect taxes recoverable	2,051	1,811
Others	547	354
Considered doubtful		
Advance to suppliers	2	2
Other advances	3	3
Less: Allowance for doubtful assets	(5)	(5)
	16,533	**14,784**
Advance to related parties, considered good comprise:		
Tata AIG General Insurance Company Limited	12	1
Titan Company Limited	8	1
Tejas Networks Limited	1,335	1,460

Non-current – Others includes advance of ₹177 crore and ₹177 crore towards acquiring right-of-use of leasehold land as at March 31, 2026 and 2025, respectively.

Contract fulfillment costs of ₹1,240 crore and ₹1,086 crore for the years ended March 31, 2026 and 2025, respectively, have been amortised in the consolidated statement of profit and loss. Refer note 11 for changes in contract assets.

(e) Inventories

Inventories consists of a) Raw materials, sub-assemblies and components, b) Work-in-progress, c) Stores and spare parts and d) Finished goods. Inventories are carried at lower of cost and net realisable value. The cost of raw materials, sub-assemblies and components is determined on a weighted average basis. Cost of finished goods produced or purchased by the Group includes direct material and labour cost and a proportion of manufacturing overheads.

Inventories consist of the following:

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Raw materials, sub-assemblies and components	26	20
Finished goods and work-in-progress	3	1
	29	**21**

(f) Other liabilities

Other liabilities consist of the following:

Other liabilities – Current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Advance received from customers	694	1,896
Indirect taxes payable and other statutory liabilities	5,515	4,817
Others	657	475
	6,866	**7,188**

(g) Provisions

Provisions consist of the following:

Provisions – Current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Provision towards legal claim (Refer note 20)	1,062	-
Provision towards Re-structuring expenses (Refer note 25)	120	-
Provision for foreseeable loss	116	118
Other provisions	80	62
	1,378	**180**

11) Other Equity

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Capital reserve	**75**	**75**
Capital redemption reserve		
Opening balance	**444**	**444**
	444	**444**
Special Economic Zone re-investment reserve		
Opening balance	**1,085**	**16,234**
Transfer to retained earnings	(1,085)	(15,149)
	-	**1,085**
Retained earnings		
Opening balance	**88,777**	**70,033**
Profit for the year	49,210	48,553
Remeasurement of defined employee benefit plans	368	(88)
Realised loss on equity shares carried at fair value through OCI	(32)	-
Transfer from Special Economic Zone re-investment reserve	1,085	15,149
Sale of shares of non-controlling interests	-	7
	1,39,408	1,33,654
Less: Appropriations		
Dividend on equity shares	39,437	44,864
Transfer from statutory reserve	88	13
	99,883	**88,777**
Statutory reserve		
Opening balance	**173**	**160**
Transfer to retained earnings	88	13
	261	**173**
Investment revaluation reserve		
Opening balance	**655**	**235**
Realised loss on equity shares carried at fair value through OCI	32	-
Change during the year (net)	(762)	420
	(75)	**655**
Cash flow hedging reserve (Refer note 8(k))		
Opening balance	**(15)**	**(9)**
Change during the year (net)	(7)	(6)
	(22)	**(15)**
Foreign currency translation reserve		
Opening balance	**3,200**	**2,955**
Change during the year (net)	3,112	245
	6,312	**3,200**
	1,06,878	**94,394**

12) Revenue recognition

The Group earns revenue primarily from providing IT services, consulting and business solutions. The Group offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions.

Revenue is recognised upon transfer of control of promised products or services to customers in an amount that reflects the consideration which the Group expects to receive in exchange for those products or services.

- Revenue from time and material and job contracts is recognised on output basis measured by units delivered, efforts expended, number of transactions processed, etc.
- Revenue related to fixed price maintenance and support services contracts where the Group is standing ready to provide services is recognised based on time elapsed mode and revenue is straight-lined over the period of performance.
- In respect of other fixed-price contracts, revenue is recognised using percentage-of-completion method ('POC method') of accounting with contract costs incurred determining the degree of completion of the performance obligation. The contract costs used in computing the revenues include cost of fulfilling warranty obligations.
- Revenue from the sale of distinct internally developed software and manufactured systems and third party software is recognised upfront at the point in time when the system / software is delivered to the customer. In cases where implementation and / or customisation services rendered significantly modifies or customises the software, these services and software are accounted for as a single performance obligation and revenue is recognised over time on a POC method.
- Revenue from the sale of distinct third party hardware is recognised at the point in time when control is transferred to the customer.
- The solutions offered by the Group may include supply of third-party equipment or software. In such cases, revenue for supply of such third party products are recorded at gross or net basis depending on whether the Group is acting as the principal or as an agent of the customer. The Group recognises revenue in the gross amount of consideration when it is acting as a principal and at net amount of consideration when it is acting as an agent.

Revenue is measured based on the transaction price, which is the consideration, adjusted for volume discounts, service level credits, performance bonuses, price concessions and incentives, if any, as specified in the contract with the customer. Revenue also excludes taxes collected from customers.

The Group's contracts with customers could include promises to transfer multiple products and services to a customer. The Group assesses the products / services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligation involves judgement to determine the deliverables and the ability of the customer to benefit independently from such deliverables.

Judgement is also required to determine the transaction price for the contract and to ascribe the transaction price to each distinct performance obligation. The transaction price could be either a fixed amount of customer consideration or variable consideration with elements such as volume discounts, service level credits, performance bonuses, price concessions and incentives. The transaction price is also adjusted for the effects of the time value of money if the contract includes a significant financing component. Any consideration payable to the customer is adjusted to the transaction price, unless it is a payment for a distinct product or service from the customer.

The estimated amount of variable consideration is adjusted in the transaction price only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur and is reassessed at the end of each reporting period. The Group allocates the elements of variable considerations to all the performance obligations of the contract unless there is observable evidence that they pertain to one or more distinct performance obligations.

The Group exercises judgement in determining whether the performance obligation is satisfied at a point in time or over a period of time. The Group considers indicators such as how customer consumes benefits as services are rendered or who controls the asset as it is being created or existence of enforceable right to payment for performance to date and alternate use of such product or service, transfer of significant risks and rewards to the customer, acceptance of delivery by the customer, etc.

Contract fulfilment costs are generally expensed as incurred except for certain software licence costs which meet the criteria for capitalisation. Such costs are amortised over the contractual period or useful life of licence, whichever is less. The assessment of this criteria requires the application of judgement, in particular when considering if costs generate or enhance resources to be used to satisfy future performance obligations and whether costs are expected to be recovered.

Contract assets are recognised when there are excess of revenues earned over billings on contracts. Contract assets are classified as unbilled receivables (only act of invoicing is pending) when there is unconditional right to receive cash, and only passage of time is required, as per contractual terms.

Unearned and deferred revenue ("contract liability") is recognised when there are billings in excess of revenues.

The billing schedules agreed with customers include periodic performance based payments and / or milestone based progress payments. Invoices are payable within contractually agreed credit period.

In accordance with Ind AS 37, the Group recognises an onerous contract provision when the unavoidable costs of meeting the obligations under a contract exceed the economic benefits to be received.

Contracts are subject to modification to account for changes in contract specification and requirements. The Group reviews modification to contract in conjunction with the original contract, basis which the transaction price could be allocated to a new performance obligation, or transaction price of an existing obligation could undergo a change. In the event transaction price is revised for existing obligation, a cumulative adjustment is accounted for.

The Group disaggregates revenue from contracts with customers by nature of services, industry verticals and geography.

Revenue disaggregation by nature of services is as follows:

		(₹ crore)
	Year ended March 31, 2026	**Year ended March 31, 2025**
Consultancy services	2,62,688	2,52,045
Sale of equipment and software licences	4,333	3,279
	2,67,021	**2,55,324**

Revenue disaggregation by industry vertical and geography has been included in segment information (Refer note 19).

While disclosing the aggregate amount of transaction price yet to be recognised as revenue towards unsatisfied (or partially satisfied) performance obligations, along with the broad time band for the expected time to recognise those revenues, the Group has applied the practical expedient in Ind AS 115. Accordingly, the Group has not disclosed the aggregate transaction price allocated to unsatisfied (or partially satisfied) performance obligations which pertain to contracts where revenue recognised corresponds to the value transferred to customer typically involving time and material, outcome based and event based contracts.

Unsatisfied (or partially satisfied) performance obligations are subject to variability due to several factors such as terminations, changes in scope of contracts, periodic revalidations of the estimates, economic factors (changes in currency rates, tax laws etc). The aggregate value of transaction price allocated to unsatisfied (or partially satisfied) performance obligations is ₹223,632 crore out of which 43.53% is expected to be recognised as revenue in the next year and the balance thereafter. No consideration from contracts with customers is excluded from the amount mentioned above.

Changes in contract assets are as follows:

		(₹ crore)
	Year ended March 31, 2026	**Year ended March 31, 2025**
Balance at the beginning of the year	**6,528**	**6,141**
Invoices raised that were included in the contract assets balance at the beginning of the year	(5,004)	(4,593)
Increase due to revenue recognised during the year, excluding amounts billed during the year	5,774	4,843
Translation exchange difference	648	137
Balance at the end of the year	**7,946**	**6,528**

Changes in unearned and deferred revenue are as follows:

		(₹ crore)
	Year ended March 31, 2026	**Year ended March 31, 2025**
Balance at the beginning of the year	**4,546**	**4,122**
Revenue recognised that was included in the unearned and deferred revenue balance at the beginning of the year	(4,162)	(3,714)
Increase due to invoicing during the year, excluding amounts recognised as revenue during the year	4,663	4,140
Translation exchange difference	87	(2)
Balance at the end of the year	**5,134**	**4,546**

Reconciliation of revenue recognised with the contracted price is as follows:

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
Contracted price	2,71,825	2,59,076
Reductions towards variable consideration components	(4,803)	(3,752)
Revenue recognised	**2,67,022**	**2,55,324**

The reduction towards variable consideration comprises of volume discounts, service level credits, etc.

13) Other income

Dividend income is recorded when the right to receive payment is established. Interest income is recognised using the effective interest method.

Other income consist of the following:

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
Interest income	3,854	3,296
Dividend from mutual fund units and other investments	35	43
Net gain on disposal / fair valuation of investments carried at fair value through profit or loss	368	258
Net gain on sale of investments carried at fair value through OCI	333	11
Net gain on disposal of property, plant and equipment	17	20
Net gain on lease modification	110	15
Net gain on sub-lease	8	-
Net foreign exchange (loss) / gain	(611)	260
Rent income	11	3
Awards from litigation	191	-
Net gain on fair valuation of call option	17	-
Other income	69	56
	4,402	**3,962**
Interest income comprise:		
Interest on bank balances and bank deposits	726	888
Interest on financial assets carried at amortised cost	217	224
Interest on financial assets carried at fair value through OCI	2,059	2,114
Other interest (including interest on tax refunds)	852	70

14) Employee benefits

Defined benefit plans

For defined benefit plans, the cost of providing benefits is determined using the Projected Unit Credit Method, with actuarial valuations being carried out at each balance sheet date. Remeasurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling and the return on plan assets (excluding interest), is reflected immediately in the balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur. Past service cost, both vested and unvested, is recognised as an expense at the earlier of (a) when the plan amendment or curtailment occurs; and (b) when the entity recognises related restructuring costs or termination benefits.

The retirement benefit obligations recognised in the balance sheet represents the present value of the defined benefit obligations reduced by the fair value of scheme assets. Any asset resulting from this calculation is limited to the present value of available refunds and reductions in future contributions to the scheme.

The Group provides benefits such as gratuity, pension and provident fund (Company managed fund) to its employees which are treated as defined benefit plans.

Defined contribution plans

Contributions to defined contribution plans are recognised as expense when employees have rendered services entitling them to such benefits.

The Group provides benefits such as superannuation, provident fund (other than Company managed fund) and foreign defined contribution plans to its employees which are treated as defined contribution plans.

Short-term employee benefits

All employee benefits payable wholly within twelve months of rendering the service are classified as short-term employee benefits. Benefits such as salaries, wages etc. and the expected cost of ex-gratia are recognised in the period in which the employee renders the related service. A liability is recognised for the amount expected to be paid when there is a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Compensated absences

Compensated absences which are expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as undiscounted liability at the balance sheet date. Compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as an actuarially determined liability at the present value of the defined benefit obligations at the balance sheet date using the Projected Unit Credit Method.

Termination benefits

Termination benefits are expensed at the earlier of when the Group is obligated to pay those benefits and when the Group recognises costs for a restructuring.

Employee benefit expenses consist of the following:

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
Salaries, incentives and allowances	1,37,832	1,30,035
Contributions to provident and other funds	12,790	11,753
Staff welfare expenses	4,372	4,000
	1,54,994	**1,45,788**

Employee benefit obligations consist of the following:

Employee benefit obligations – Non-current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Gratuity liability	15	17
Foreign defined benefit plans	655	548
Other employee benefit obligations	291	276
	961	**841**

Employee benefit obligations – Current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Compensated absences	5,544	4,839
Other employee benefit obligations	56	46
	5,600	**4,885**

Employee benefit plans consist of the following:

Gratuity and pension

In accordance with Indian law, Tata Consultancy Services Limited and its subsidiaries in India operate a scheme of gratuity which is a defined benefit plan. The gratuity plan provides for a lump sum payment to vested employees at retirement, death while in employment or on termination of employment in accordance with the provisions under the Code on Social Security, 2020 or as per the Company Scheme, as applicable. Vesting occurs upon completion of contractual period of continuous years of service as defined in the Code on Social Security,2020. The Company manages the plan through a trust. Trustees administer contributions made to the trust. Certain overseas subsidiaries and branches of the Company also provide for retirement benefit pension plans in accordance with the local laws.

The following table sets out the details of the defined benefit retirement plans and the amounts recognised in the financial statements:

(₹ crore)

	Year ended March 31, 2026					Year ended March 31, 2025				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Change in benefit obligations										
Benefit obligations, beginning of the year	**6,190**	**4**	**2,062**	**435**	**8,691**	**5,300**	**3**	**1,898**	**392**	**7,593**
Translation exchange	-	-	408	50	458	-	-	70	(21)	49
Plan participants'	-	-	23	-	23	-	-	21	-	21
Service cost	637	2	40	85	764	540	-	32	64	636
Interest cost	440	-	70	28	538	395	-	61	18	474
Remeasurement of the defined benefit obligations	(470)	-	(134)	(25)	(629)	319	1	48	17	385
Past service cost	1,715	7	-	(3)	1,719	-	-	-	-	-
Benefits paid	(648)	-	(109)	(42)	(799)	(364)	-	(68)	(35)	(467)
Benefit obligations, end of the year	**7,864**	**13**	**2,360**	**528**	**10,765**	**6,190**	**4**	**2,062**	**435**	**8,691**

(₹ crore)

	Year ended March 31, 2026					Year ended March 31, 2025				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Change in plan assets										
Fair value of plan assets, beginning of the year	**7,906**	**-**	**2,368**	**-**	**10,274**	**7,234**	**-**	**2,078**	**-**	**9,312**
Translation exchange difference	-	-	442	-	442	-	-	73	-	73
Interest income	520	-	83	-	603	529	-	70	-	599
Employers' contributions	488	-	35	-	523	367	-	56	-	423
Plan participants' contribution	-	-	23	-	23	-	-	21	-	21
Benefits paid	(648)	-	(109)	-	(757)	(364)	-	(68)	-	(432)
Remeasurement - return on plan assets excluding amount included in interest income	(187)	-	40	-	(147)	140	-	138	-	278
Fair value of plan assets, end of the year	**8,079**	**-**	**2,882**	**-**	**10,961**	**7,906**	**-**	**2,368**	**-**	**10,274**

(₹ crore)

	As at March 31, 2026					As at March 31, 2025				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Funded status										
Deficit of plan assets over obligations	(2)	(13)	(127)	(528)	(670)	(13)	(4)	(113)	(435)	(565)
Surplus of plan assets over obligations	217	-	649	-	866	1,729	-	419	-	2,148
	215	**(13)**	**522**	**(528)**	**196**	**1,716**	**(4)**	**306**	**(435)**	**1,583**

(₹ crore)

	As at March 31, 2026					As at March 31, 2025				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Category of assets										
Corporate bonds	2,159	-	221	-	2,380	2,023	-	77	-	2,100
Equity instruments	335	-	226	-	561	267	-	-	-	267
Government bonds and securities	3,372	-	-	-	3,372	3,559	-	-	-	3,559
Insurer managed funds	2,054	-	1,939	-	3,993	1,892	-	2,116	-	4,008
Bank balances	11	-	5	-	16	5	-	3	-	8
Others	148	-	491	-	639	160	-	172	-	332
	8,079	**-**	**2,882**	**-**	**10,961**	**7,906**	**-**	**2,368**	**-**	**10,274**

Net periodic gratuity / pension cost, included in employee cost consists of the following components:

(₹ crore)

	Year ended March 31, 2026					Year ended March 31, 2025				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Service cost	637	2	40	85	764	540	-	32	64	636
Net interest on defined benefit (assets) / obligations	(80)	-	(13)	28	(65)	(134)	-	(9)	18	(125)
Past service cost	1,715	7	-	(3)	1,719	-	-	-	-	-
Net periodic gratuity / pension cost	**2,272**	**9**	**27**	**110**	**2,418**	**406**	**-**	**23**	**82**	**511**
Actual return on plan assets	**333**	**-**	**123**	**-**	**456**	**669**	**-**	**208**	**-**	**877**

Remeasurement of the defined benefit (assets) / obligations:

(₹ crore)

	Year ended March 31, 2026				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Actuarial (gains) / losses arising from changes in demographic assumptions	(30)	-	-	(9)	(39)
Actuarial (gains) / losses arising from changes in financial assumptions	(369)	-	(127)	(4)	(500)
Actuarial (gains) / losses arising from changes in experience adjustments	(71)	-	(7)	(12)	(90)
Remeasurement of the defined benefit obligations	**(470)**	**-**	**(134)**	**(25)**	**(629)**
Remeasurement - return on plan assets excluding amount included in interest income	187	-	(40)	-	147
	(283)	**-**	**(174)**	**(25)**	**(482)**

(₹ crore)

	Year ended March 31, 2025				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Actuarial (gains) / losses arising from changes in demographic assumptions	12	-	1	1	14
Actuarial (gains) / losses arising from changes in financial assumptions	222	1	68	15	306
Actuarial (gains) / losses arising from changes in experience adjustments	85	-	(21)	1	65
Remeasurement of the defined benefit obligations	**319**	**1**	**48**	**17**	**385**
Remeasurement - return on plan assets excluding amount included in interest income	(140)	-	(138)	-	(278)
	179	**1**	**(90)**	**17**	**107**

The significant assumptions used in accounting for the defined benefit plan are set out below:

	As at March 31, 2026		As at March 31, 2025	
	Domestic plans	Foreign plans	Domestic plans	Foreign plans
Discount rate	6.75% - 7.25%	1.03% - 9.30%	6.50% - 6.75%	1.10% - 9.40%
Rate of increase in compensation levels of covered employees	6.00% - 8.00%	1.00% - 7.00%	6.00% - 10.00%	1.25% - 7.00%
Rate of return on plan assets	6.75% - 7.25%	1.03% - 9.30%	6.50% - 6.75%	1.10% - 9.40%
Weighted average duration of defined benefit obligations	6-12 Years	3-25 Years	6-12 Years	3-27 Years

Future mortality assumptions are taken based on the published statistics by the Insurance Regulatory and Development Authority of India.

The expected benefits are based on the same assumptions as are used to measure Group's defined benefit plan obligations as at March 31, 2026. The Group is expected to contribute ₹53 crore to defined benefit plan obligations funds for the year ending March 31, 2027 comprising domestic component of ₹1 crore and foreign component of ₹52 crore.

The significant actuarial assumptions for the determination of the defined benefit obligations are discount rate and expected salary increase. The sensitivity analysis below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

If the discount rate increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

	As at March 31, 2026	As at March 31, 2025
Increase of 0.50%	(382)	(318)
Decrease of 0.50%	419	350

If the expected salary growth increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

	As at March 31, 2026	As at March 31, 2025
Increase of 0.50%	240	198
Decrease of 0.50%	(230)	(190)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligations as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligations has been calculated using the Projected Unit Credit Method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligations recognised in the balance sheet.

Each year an Asset-Liability matching study is performed in which the consequences of the strategic investment policies are analysed in terms of risk and return profiles. Investment and contribution policies are integrated within this study.

The defined benefit obligations shall mature after the year ended March 31, 2026 as follows:

	(₹ crore)
Year ending March 31,	**Defined benefit obligations**
2027	1,270
2028	1,082
2029	1,060
2030	1,006
2031	968
2032-2036	4,312

Provident fund

In accordance with Indian law, all eligible employees of Tata Consultancy Services Limited in India are entitled to receive benefits under the provident fund plan in which both the employee and employer (at a determined rate) contribute monthly to a trust set up by the Company to manage the investments and distribute the amounts entitled to employees. This plan is a defined benefit plan as the Company is obligated to provide its members a rate of return which should, at the minimum, meet the interest rate declared by Government administered provident fund. A part of the Company's contribution is transferred to the Government administered pension fund. The contributions made by the Company and the shortfall of interest, if any, are recognised as an expense in profit and loss under employee benefit expenses. In accordance with an actuarial valuation of provident fund liabilities on the basis of guidance issued by Actuarial Society of India and based on the assumptions as mentioned below, there is no deficiency in the interest cost as the present value of the expected future earnings of the fund is greater than the expected amount to be credited to the individual members based on the expected guaranteed rate of interest of Government administered provident fund.

All eligible employees of Indian subsidiaries of the Company are entitled to receive benefits under the provident fund plan in which both the employee and employer (at a determined rate) contribute monthly to the Government administered provident fund plan. A part of the Company's contribution is transferred to the Government administered pension fund. This plan is a defined contribution plan as the obligation of the employer is limited to the monthly contributions made to the fund. The contributions made to the fund are recognised as an expense in profit and loss under employee benefit expenses.

The following table sets out the details of the defined benefit provident fund plan and the amounts recognised in the financial statements:

		(₹ crore)
	Year ended March 31, 2026	**Year ended March 31, 2025**
Change in benefit obligations		
Benefit obligations, beginning of the year	**32,977**	**29,170**
Employee contribution	2,556	2,614
Service cost	941	967
Interest cost	2,677	2,387
Obligations transferred in	696	653
Benefits paid	(4,393)	(2,814)
Benefit obligations, end of the year	**35,454**	**32,977**

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
Change in plan assets		
Plan assets, beginning of the year	**33,017**	**29,326**
Interest income	2,677	2,387
Contributions	3,497	3,581
Assets transferred in	696	653
Benefits paid	(4,393)	(2,814)
Remeasurement - return on plan assets excluding amount included in interest income	(1)	(116)
Plan assets, end of the year	**35,493**	**33,017**

Net periodic provident fund cost, included in the employee cost consists of the following components:

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
Service cost	941	967
Net periodic provident fund cost	**941**	**967**

The plan asset investment is as per pattern specified by Employee's Provident Fund Organisation with more than 90% of the assets invested in Government bonds and debts instruments.

The assumptions used in determining the present value obligation of interest guarantee under the deterministic approach are as follows:

	As at March 31, 2026	As at March 31, 2025
Discount rate	7.25%	6.50%
Average remaining tenure of investment portfolio	6 Years	6 Years
Guaranteed rate of return	8.25%	8.25%

The Group expensed ₹1,691 crore and ₹1,693 crore for the years ended March 31, 2026 and 2025, respectively, towards provident fund.

Superannuation

All eligible employees on Indian payroll are entitled to benefits under Superannuation, a defined contribution plan. The Group makes monthly contributions until retirement or resignation of the employee. The Group recognises such contributions as an expense when incurred. The Group has no further obligation beyond its monthly contribution.

The Group expensed ₹491 crore and ₹498 crore for the years ended March 31, 2026 and 2025, respectively, towards Employees' Superannuation Fund.

Foreign defined contribution plans:

The Group expensed ₹3,069 crore and ₹2,768 crore for the years ended March 31, 2026 and 2025, respectively, towards foreign defined contribution plans.

15) Cost recognition

Costs and expenses are recognised when incurred and have been classified according to their nature.

The costs of the Group are broadly categorised in employee benefit expenses, cost of equipment and software licences, depreciation and amortisation expense and other expenses. Other expenses mainly include fees to external consultants, facility expenses, travel

expenses, communication expenses, bad debts and advances written off, allowance for expected credit losses and doubtful advances (net) and other expenses. Other expenses are aggregation of costs which are individually not material such as commission and brokerage, recruitment and training, entertainment, etc.

(a) Cost of equipment and software licences

Cost of equipment and software licences consist of the following:

		(₹ crore)
	Year ended March 31, 2026	**Year ended March 31, 2025**
Raw materials, sub-assemblies and components consumed	43	49
Equipment and software licences purchased	4,358	11,600
	4,401	**11,649**
Finished goods and work-in-progress		
Opening stock	1	-*
Less: Closing stock	3	1
	(2)	**(1)**
	4,399	**11,648**

*Represents value less than ₹0.50 crore.

(b) Other expenses

Other expenses consist of the following:

		(₹ crore)
	Year ended March 31, 2026	**Year ended March 31, 2025**
Fees to external consultants	14,699	11,695
Facility expenses	3,687	3,456
Travel expenses	3,310	3,213
Communication expenses	2,738	2,365
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	184	128
Other expenses	10,612	9,624
	35,230	**30,481**

Other expenses include ₹4,802 crore and ₹4,337 crore for the years ended March 31, 2026 and 2025, respectively, towards project expenses.

The Company made a contribution to an electoral trust of NIL and ₹218 crore for the years ended March 31, 2026 and 2025, respectively, which is included in other expenses.

16) Finance costs

Finance costs consist of the following:

		(₹ crore)
	Year ended March 31, 2026	**Year ended March 31, 2025**
Interest on lease liabilities	778	632
Interest on tax matters	9	-
Other interest costs	440	164
	1,227	**796**

17) Income taxes

Income tax expense comprises current tax expense and the net change in the deferred tax asset or liability during the year. Current and deferred taxes are recognised in statement of profit and loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity, respectively.

Current income taxes

The current income tax expense includes income taxes payable by the Company and its subsidiaries in India and overseas.

The Holding Company and its Indian subsidiaries have recognised income tax expenses applying the provisions under section 115BAA of the Income-tax Act, 1961.

Current income tax payable by overseas branches of the Company is computed in accordance with the tax laws applicable in the jurisdiction in which the respective branch operates. The taxes paid are generally available for set off against the Indian income tax liability of the Company's worldwide income.

The current income tax expense for overseas subsidiaries has been computed based on the tax laws applicable to each subsidiary in the respective jurisdiction in which it operates.

Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Advance taxes and provisions for current income taxes are presented in the balance sheet after off-setting advance tax paid and income tax provision arising in the same tax jurisdiction and where the relevant tax paying unit intends to settle the asset and liability on a net basis.

The Organisation for Economic Co-operation and Development (OECD) has published the model rules for global minimum tax (Pillar Two model rules). As per the provisions of Pillar Two legislation, the Group's Ultimate parent entity (UPE) has consolidated revenues exceeding the threshold prescribed under the OECD framework. Pillar Two legislation has been enacted, or substantively enacted, in certain jurisdictions where the Group operates. Based on the current assessment, the Group does not expect a material financial impact from the application of the Pillar Two rules on its consolidated financial statements. The evaluation of the potential exposure is based on the most recent country-by-country reporting, and financial statements for the constituent entities in the Group. In accordance with Amendments to Ind AS 12, the Group has applied temporary mandatory relief from accounting for deferred tax that arises from implementing Pillar Two legislation.

Deferred income taxes

Deferred income tax is recognised using the balance sheet approach. Deferred income tax assets and liabilities are recognised for deductible and taxable temporary differences arising between the tax base of assets and liabilities and their carrying amount, except when the deferred income tax arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination, affects neither accounting nor taxable profit or loss at the time of the transaction.

Deferred income tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax liabilities are recognised for all taxable temporary differences except in respect of taxable temporary differences associated with investments in subsidiaries where timing of the reversal of the temporary difference can be controlled and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets and liabilities are measured using substantively enacted tax rates expected to apply to taxable income in the years in which the temporary differences are expected to be received or settled.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the relevant entity intends to settle its current tax assets and liabilities on a net basis.

The income tax expense consists of the following:

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
Current tax		
Current tax expense for current year	18,273	18,113
Current tax benefit pertaining to prior years	(1,885)	(1,203)
	16,388	16,910
Deferred tax		
Deferred tax benefit for current year	(362)	(366)
Deferred tax expense / (benefit) pertaining to prior years	7	(10)
	(355)	(376)
	16,033	**16,534**

The reconciliation of estimated income tax expense at Indian statutory income tax rate to income tax expense reported in consolidated statement of profit and loss is as follows:

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
Profit before tax	65,487	65,331
Indian statutory income tax rate	25.17%	25.17%
Expected income tax expense	16,481	16,442
Tax effect of adjustments to reconcile expected income tax expense to reported income tax expense		
Income exempt from tax	(614)	(549)
Undistributed earnings in branches and subsidiaries	154	(60)
Tax on income at different rates	1,323	1,556
Tax pertaining to prior years	(1,878)	(1,213)
Others (net)	567	358
Total income tax expense	**16,033**	**16,534**

Significant components of net deferred tax assets and liabilities for year ended March 31, 2026 are as follows:

(₹ crore)

	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Acquisitions through Buisness Combination	Exchange difference	Closing balance
Deferred tax assets / (liabilities) in relation to						
Property, plant and equipment and intangible assets	**1,052**	231	-	(20)	6	**1,269**
Provision for employee benefits	**1,177**	173	(45)	-	19	**1,324**
Cash flow hedges	**6**	-	2	-	(1)	**7**
Receivables, financial assets at amortised cost	**453**	41	-	-	4	**498**
Branch profit tax	**(166)**	(67)	-	-	-	**(233)**
Undistributed earnings of subsidiaries	**(554)**	(86)	-	-	(1)	**(641)**
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	**(275)**	1	269	-	3	**(2)**
Lease liabilities and right-of-use assets	**241**	(340)	-	-	4	**(95)**
Others	**664**	402	-	-	67	**1,133**
	2,598	**355**	**226**	- 20	**101**	**3,260**

Gross deferred tax assets and liabilities are as follows:

(₹ crore)

As at March 31, 2026	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and intangible assets	1,423	154	1,269
Provision for employee benefits	1,341	17	1,324
Cash flow hedges	7	-	7
Receivables, financial assets at amortised cost	498	-	498
Branch profit tax	-	233	(233)
Undistributed earnings of subsidiaries	-	641	(641)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	1	3	(2)
Lease liabilities	2,163	-	2,163
Right-of-use-assets	(2,258)	-	(2,258)
Others	1,290	157	1,133
	4,465	**1,205**	**3,260**

Significant components of net deferred tax assets and liabilities for the year ended March 31, 2025 are as follows:

(₹ crore)

	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Exchange difference	Closing balance
Deferred tax assets / (liabilities) in relation to					
Property, plant and equipment and intangible assets	**739**	320	-	(7)	**1,052**
Provision for employee benefits	**1,108**	91	(27)	5	**1,177**
Cash flow hedges	**3**	-	3	-	**6**
Receivables, financial assets at amortised cost	**422**	32	-	(1)	**453**
Branch profit tax	**(100)**	(66)	-	-	**(166)**
Undistributed earnings of subsidiaries	**(680)**	126	-	-	**(554)**
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	**(126)**	-	(149)	-	**(275)**
Lease liabilities and right-of-use assets	**270**	(27)	-	(2)	**241**
Others	**790**	(100)	-	(26)	**664**
	2,426	**376**	**(173)**	**(31)**	**2,598**

Gross deferred tax assets and liabilities are as follows:

(₹ crore)

As at March 31, 2025	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and intangible assets	1,175	123	1,052
Provision for employee benefits	1,180	3	1,177
Cash flow hedges	6	-	6
Receivables, financial assets at amortised cost	454	1	453
Branch profit tax	-	166	(166)
Undistributed earnings of subsidiaries	-	554	(554)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(272)	3	(275)
Lease liabilities	1,680	-	1,680
Right-of-use-assets	(1,439)	-	(1,439)
Others	794	130	664
	3,578	**980**	**2,598**

Under the Income-tax Act, 1961, unabsorbed business losses expire 8 years after the year in which they originate. In respect of certain foreign subsidiaries, business losses can be carried forward indefinitely unless there is a substantial change in the ownership.

Unrecognised deferred tax assets relate primarily to business losses and tax credit entitlements which do not qualify for recognition as per the applicable accounting standards. These unabsorbed business losses will expire based on the year of origination as follows:

	(₹ crore)
March 31,	**Unabsorbed business losses**
2030	-
Thereafter	44
	44

Deferred tax liability on temporary differences of ₹10,783 crore as at March 31, 2026 associated with investments in subsidiaries, has not been recognised, as it is the intention of Tata Consultancy Services Limited to reinvest the earnings of these subsidiaries for the foreseeable future.

Direct tax contingencies

The Company and its subsidiaries have ongoing disputes with income tax authorities in India and in some of the other jurisdictions where they operate. The disputes relate to tax treatment of certain expenses claimed as deduction, computation or eligibility of tax incentives and allowances and characterisation of fees for services received. Contingent liability in respect of tax demands received from direct tax authorities in India and other jurisdictions is ₹583 crore and ₹1,073 crore as at March 31, 2026 and 2025, respectively. These demand orders are being contested by the Company and its subsidiaries based on the management evaluation and advise of tax consultants. In respect of tax contingencies of ₹318 crore and ₹318 crore as at March 31, 2026 and 2025, respectively, not included above, the Company is entitled to an indemnification from the seller of TCS e-Serve Limited.

The Group periodically receives notices and inquiries from income tax authorities related to the Group's operations in the jurisdictions it operates in. The Group has evaluated these notices and inquiries and has concluded that any consequent income tax claims or demands by the income tax authorities will not succeed on ultimate resolution.

The number of years that are subject to tax assessments varies depending on tax jurisdiction. The major tax jurisdictions of Tata Consultancy Services Limited include India, United States of America and United Kingdom. In India, tax filings from fiscal 2023 are generally subject to examination by the tax authorities. In United States of America, the federal statute of limitation applies to fiscals 2021 and earlier and applicable state statutes of limitation vary by state. In United Kingdom, the statute of limitation generally applies to fiscal 2020 and earlier.

18) Earnings per share

Basic earnings per share is computed by dividing profit or loss attributable to equity shareholders of the Company by the weighted average number of equity shares outstanding during the period. The Company did not have any potentially dilutive securities in any of the periods presented.

	Year ended March 31, 2026	Year ended March 31, 2025
Profit for the year attributable to shareholders of the Company (₹ crore)	49,210	48,553
Weighted average number of equity shares	361,80,87,518	361,80,87,518
Basic and diluted earnings per share (₹)	136.01	134.19
Face value per equity share (₹)	1	1

Class B compulsorily convertible preference shares, issued by HyperVault AI Data Center Limited, a subsidiary of the Company, could potentially dilute basic earnings per share in the future, but have not been included in the calculation of diluted earnings per share as they are antidilutive for the year ended March 31, 2026.

19) Segment information

Operating segments are defined as components of an enterprise for which discrete financial information is available that is evaluated regularly by the chief operating decision maker, in deciding how to allocate resources and assessing performance. The Group's chief operating decision maker is the Chief Executive Officer and Managing Director.

The Group has identified business segments ('industry vertical') as reportable segments. The business segments comprise: 1) Banking, Financial Services and Insurance, 2) Manufacturing, 3) Consumer Business, 4) Communication, Media and Technology, 5) Life Sciences and Healthcare and 6) Others such as Energy, Resources and Utilities, s-Governance and Products.
Revenue and expenses directly attributable to segments are reported under each reportable segment. Expenses which are not directly identifiable to each reporting segment have been allocated on the basis of associated revenue of the segment. All other expenses which are not attributable or allocable to segments or are non-recurring in nature have been disclosed as unallocable expenses.

The assets and liabilities of the Group are used interchangeably amongst segments. Allocation of such assets and liabilities is not practicable and any forced allocation would not result in any meaningful segregation. Hence assets and liabilities have not been identified to any of the reportable segments.

Summarised segment information for the years ended March 31, 2026 and 2025, is as follows:

Year ended March 31, 2026							**(₹ crore)**
	Banking, Financial Services and Insurance	**Manufacturing**	**Consumer Business**	**Communication, Media and Technology**	**Life Sciences and Healthcare**	**Others**	**Total**
Revenue from operations	**1,03,363**	**26,614**	**42,432**	**39,474**	**27,745**	**27,393**	**2,67,021**
Segment result	**27,011**	**8,051**	**12,090**	**11,473**	**7,504**	**6,269**	**72,398**
Total unallocable expenses*							11,313
Operating income							**61,085**
Other income							4,402
Profit before tax							**65,487**
Tax expense							16,033
Profit for the year							**49,454**
Depreciation and amortisation expense (unallocable)							**5,560**
Significant non-cash items (allocable)	(2)	3	40	78	1	64	**184**

*Includes Statutory impact of new Labour Codes ₹2,128 crore, Provision towards legal claim ₹1,010 crore (Refer note 20) and re-structuring expenses of ₹1,388 crore (Refer note 25) for year ended March 31, 2026.

Year ended March 31, 2025							**(₹ crore)**
	Banking, Financial Services and Insurance	**Manufacturing**	**Consumer Business**	**Communication, Media and Technology**	**Life Sciences and Healthcare**	**Others**	**Total**
Revenue from operations	**94,597**	**25,170**	**40,197**	**45,893**	**26,456**	**23,011**	**2,55,324**
Segment result	**25,135**	**8,225**	**11,222**	**9,582**	**7,448**	**5,795**	**67,407**
Total unallocable expenses							6,038
Operating income							**61,369**
Other income							3,962
Profit before tax							**65,331**
Tax expense							16,534
Profit for the year							**48,797**
Depreciation and amortisation expense (unallocable)							**5,242**
Significant non-cash items (allocable)	7	(2)	7	37	(11)	91	**128**

Information regarding geographical revenue is as follows:

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
Americas (1)	1,34,998	1,27,870
Europe (2)	87,467	79,487
India	15,775	22,060
Others	28,781	25 907
Total	**2,67,021**	**2,55,324**

Geographical non-current assets (property, plant and equipment, right-of-use assets, goodwill, other intangible assets, income tax assets and other non-current assets) are allocated based on the location of the assets.

Information regarding geographical non-current assets is as follows:

(₹ crore)

Geography	As at March 31, 2026	As at March 31, 2025
Americas (3)	2,604	2,520
Europe (4)	5,058	4,059
India	29,228	22,186
Others	984	1,122
Total	**37,875**	**29,886**

(1) includes revenue in the United States of America of ₹1,18,893 crore and ₹1,13,559 crore for the years ended March 31, 2026 and 2025, respectively.
(2) includes revenue in the United Kingdom of ₹46,444 crore and ₹42,977 crore for the years ended March 31, 2026 and 2025, respectively.
(3) is substantially related to operations in the United States of America.
(4) includes non-current assets in the United Kingdom of ₹2,188 crore and ₹1,524 crore as at March 31, 2026 and 2025, respectively.

Information about major customers

No single customer represents 10% or more of the Group's total revenue for the years ended March 31, 2026 and 2025, respectively.

20) Commitments and contingencies

Capital commitments

The Group has contractually committed (net of advances) ₹2,733 crore and ₹2,574 crore as at March 31, 2026 and 2025, respectively, for purchase of property, plant and equipment.

Contingencies

- **Direct tax matters**

Refer note 17

- **Indirect tax matters**

The Company and its subsidiaries have ongoing disputes with tax authorities mainly relating to treatment of characterisation and classification of certain items. The Company and its subsidiaries have demands amounting to ₹1,446 crore and ₹1,190 crore as at March 31, 2026 and 2025, respectively, from various indirect tax authorities which are being contested by the Company and its subsidiaries based on the management evaluation and advice of tax consultants.

- **Other claims**

- Claims aggregating ₹301 crore and ₹248 crore as at March 31, 2026 and 2025, respectively, against the Group have not been acknowledged as debts.

- In April 2019, Computer Sciences Corporation (referred to as CSC) filed a legal claim against the Company in the Court of Northern District of Texas and Dallas Division (trial court) alleging misappropriation of trade secrets and other CSC's confidential information and sought preliminary and permanent injunctive relief, and unspecified monetary damages and disgorgement of profits.

  A trial before an advisory jury was held and on November 17, 2023, the jury returned an advisory verdict in favour of CSC, finding that the Company misappropriated CSC's trade secrets and recommended compensation of US $70 million (equivalent to ₹662 crore) and a further punitive damage of US $140 million (equivalent to ₹1,324 crore) to be paid by the Company to CSC. Subsequently, the parties filed their respective written submissions in the matter. On June 13, 2024, the trial court passed a judgement as follows:

  1. The Court ordered that the Company is liable to CSC for US $56 million (equivalent to ₹531 crore) in compensatory damages and US $112 million (equivalent to ₹1,062 crore) in exemplary damages.
  2. The Court also assessed that the Company is liable for US $26 million (equivalent to ₹244 crore) in prejudgment interest through June 13, 2024.
  3. The Court also passed certain injunction and other reliefs against the Company.

  Pursuant to US Court procedures, a Letter of Credit has been made available to CSC for US $250 million (equivalent to ₹2,365 crore) as financial security in order to stay execution of the judgement pending appeal proceedings and conclusion.

  On November 21, 2025, the Fifth Circuit issued a decision affirming the District Court's rulings on liability but vacating the previously granted Injunction and remanding to the district court to re-enter a narrower injunction. The Company filed a petition for rehearing en banc and a petition for panel rehearing in the appellate court on December 5, 2025, which was denied on December 19, 2025.

  On March 19, 2026, a petition for a writ of certiorari from the US Supreme Court was filed, seeking a review of the case and the Supreme Court's decision is awaited.

  The Company, based on consultation with the external lawyers and legal assessment, believes that it has a strong case and would defend its position vigorously and pursue legal remedies to overturn the decision of the Fifth Circuit.

  Considering all the facts and various legal precedence, on a conservative and prudent basis, the Company provided US $112 million ₹1,010 crore) towards this legal claim in the consolidated statement of profit and loss for year ended March 31, 2026 as "Provision towards legal claim" under "Exceptional items". In addition, the Company has also provided US $38 million (₹342 crore) towards pre and post judgement interest until expected date of settlement of this liability and disclosed it under "Other interest costs".

  Letter of comfort

  The Company has given letter of comfort to banks for credit facilities availed by its subsidiaries. As per the terms of letter of comfort, the Company undertakes not to divest its ownership interest directly or indirectly in the subsidiary and provide such managerial, technical and financial assistance to ensure continued successful operations of the subsidiary.

  The amounts assessed as contingent liability do not include interest that could be claimed by counter parties.

21) Statement of net assets, profit and loss and other comprehensive income attributable to owners and non-controlling interests

Name of the entity	Country of incorporation	% of voting power as at March 31, 2026	% of voting power as at March 31, 2025	Net assets, i.e. total assets minus total liabilities		Share in Profit or loss		Share in other comprehensive income		Share in total comprehensive income	
				As % of consolidated net assets	Amount (₹ crore)	As % of consolidated profit or loss	Amount (₹ crore)	As % of consolidated other comprehensive income	Amount (₹ crore)	As % of total comprehensive income	Amount (₹ crore)
Tata Consultancy Services Limited	India	-	-	68.73	84,676	85.48	49,096	150.38	(600)	85.03	48,496
Subsidiaries											
Indian											
APTOnline Limited	India	89.00	89.00	0.12	152	0.05	30	-	-	0.05	30
C-Edge Technologies Limited	India	51.00	51.00	0.49	603	0.28	163	-	-	0.29	163
MP Online Limited	India	89.00	89.00	0.13	158	0.04	24	0.25	(1)	0.04	23
TCS e-Serve International Limited	India	100.00	100.00	0.36	438	0.35	199	(0.50)	2	0.35	201
MahaOnline Limited	India	74.00	74.00	0.07	87	0.01	4	-	-	0.01	4
TRIL Bengaluru Real Estate Five Limited	India	100.00	100.00	0.14	167	-	-	-	-	-	-
TRIL Bengaluru Real Estate Six Limited	India	100.00	100.00	0.72	883	-	(2)	-	-	-	(2)
HyperVault AI Data Center Limited	India	85.00	-	0.22	277	(0.01)	(4)	-	-	(0.01)	(4)
TCS Foundation	India	100.00	100.00	1.35	1,668	0.38	220	-	-	0.39	220
Foreign											
Tata America International Corporation	U.S.A.	100.00	100.00	0.94	1,160	2.54	1,465	0.75	(3)	2.56	1,462
ListEngage, LLC	U.S.A.	100.00	-	-	-	(0.04)	(22)	-	-	(0.04)	(22)
ListEngage Midco, LLC	U.S.A.	100.00	-	5.39	6,649	(0.01)	(4)	-	-	(0.01)	(4)
TCS North America Corporation	U.S.A.	100.00	-	0.71	875	-	-	-	-	-	-
Trident LE LLC	U.S.A.	-	-	-	-	-	-	-	-	-	-
CC StructureCo, LLC	U.S.A.	100.00	-	-	-	-	-	-	-	-	-
Coastal Cloud Canada Corp.	Canada	100.00	-	-	-	-	-	-	-	-	-
Coastal Cloud Holdings, LLC	U.S.A.	100.00	-	-	-	-	-	-	-	-	-
Coastal Cloud Intermediate, LLC	U.S.A.	100.00	-	-	-	-	-	-	-	-	-
Coastal Cloud NA LLC	U.S.A.	100.00	-	-	-	-	-	-	-	-	-
Coastal Cloud, LLC	U.S.A.	100.00	-	0.18	222	(0.02)	(13)	-	-	(0.02)	(13)
Tata Consultancy Services Canada Inc.	Canada	100.00	100.00	1.77	2,181	2.13	1,229	-	-	2.15	1,229
Tata Consultancy Services Argentina S.A.	Argentina	100.00	100.00	0.02	20	0.01	7	-	-	0.01	7
Tata Consultancy Services Chile S.A.	Chile	100.00	100.00	0.38	469	0.16	91	-	-	0.16	91
Tata Consultancy Services De Mexico, S.A. De C.V.	Mexico	100.00	100.00	0.62	766	0.36	205	(8.02)	32	0.42	237
Tata Consultancy Services Do Brasil Ltda.	Brazil	100.00	100.00	0.53	652	0.27	157	-	-	0.28	157
TCS Iberoamerica S.A.	Uruguay	100.00	100.00	1.66	2,054	1.17	671	-	-	1.17	671
TCS Inversiones Chile Limitada	Chile	100.00	100.00	0.27	338	0.13	76	-	-	0.13	76
TCS Solution Center S.A.	Uruguay	-	100.00	-	-	0.11	66	(4.76)	19	0.15	85
Tatasolution Center S.A.	Ecuador	100.00	100.00	0.10	128	0.08	47	0.75	(3)	0.08	44
MGDC S.C.	Mexico	100.00	100.00	0.03	34	-	1	-	-	-	1
TCS Uruguay S.A.	Uruguay	100.00	100.00	0.49	606	0.39	223	4.26	(17)	0.36	206
Tata Consultancy Services Guatemala, S.A.	Guatemala	100.00	100.00	0.03	41	0.01	3	-	-	0.01	3
3-101-951221 S.A.	Costa Rica	100.00	-	-	4	-	(1)	-	-	-	(1)
Tata Consultancy Services Belgium	Belgium	100.00	100.00	0.41	505	0.08	45	-	-	0.08	45
Tata Consultancy Services De Espana S.A.	Spain	100.00	100.00	0.18	223	0.06	33	-	-	0.06	33
Tata Consultancy Services Deutschland GmbH	Germany	100.00	100.00	0.83	1,021	0.24	137	(1.50)	6	0.25	143
Tata Consultancy Services Italia S.R.L.	Italy	100.00	100.00	0.14	167	0.06	32	-	-	0.06	32
Tata Consultancy Services Netherlands B.V.	Netherlands	100.00	100.00	2.93	3,609	1.02	586	-	-	1.03	586
Tata Consultancy Services Sverige Aktiebolag	Sweden	100.00	100.00	0.99	1,216	0.67	385	-	-	0.68	385
Tata Consultancy Services (Portugal), Unipessoal Lda	Portugal	100.00	100.00	0.09	115	0.05	26	-	-	0.05	26
Diligenta Limited	U.K.	100.00	100.00	1.98	2,443	0.76	436	-	-	0.75	436
Tata Consultancy Services Luxembourg S.A.	Capellen (G.D. de Luxembourg)	100.00	100.00	0.15	183	0.06	33	-	-	0.06	33
Tata Consultancy Services Switzerland Ltd	Switzerland	100.00	100.00	0.87	1,095	0.32	184	(1.51)	6	0.33	190
Tata Consultancy Services France	France	100.00	100.00	(0.17)	(209)	0.11	61	(0.50)	2	0.11	63
Tata Consultancy Services Saudi Arabia	Saudi Arabia	100.00	100.00	0.54	664	0.51	291	2.01	(8)	0.50	283
Tata Consultancy Services UK Limited	U.K.	100.00	100.00	0.05	58	0.02	9	-	-	0.02	9
TCS Business Services GmbH	Germany	100.00	100.00	0.13	158	-	(1)	(9.02)	36	0.06	35
Tata Consultancy Services Bulgaria EOOD	Bulgaria	100.00	100.00	0.06	70	0.01	4	-	-	0.01	4
Tata Consultancy Services Ireland Limited	Ireland	100.00	100.00	0.29	355	0.10	60	-	-	0.11	60
TCS Technology Solutions GmbH	Germany	100.00	100.00	0.60	736	(0.64)	(370)	(21.05)	84	(0.50)	(286)
Tata Consultancy Services Osterreich GmbH	Austria	100.00	100.00	0.02	29	0.01	8	-	-	0.01	8
Diligenta (Europe) B.V.	Netherlands	100.00	100.00	-	-	-	-	-	-	-	-
Tata Consultancy Services Regional Headquarters	Saudi Arabia	100.00	-	-	-	-	-	-	-	-	-
Tata Consultancy Services Maroc SARL AU	Morocco	100.00	-	-	3	-	-	-	-	-	-
Tata Consultancy Services Asia Pacific Pte. Ltd.	Singapore	100.00	100.00	1.03	1,289	0.85	491	(9.28)	37	0.93	528
Tata Consultancy Services Malaysia Sdn. Bhd.	Malaysia	100.00	100.00	0.14	174	0.12	70	-	-	0.12	70
TCS FNS Pty Limited	Australia	100.00	100.00	0.14	169	0.16	90	-	-	0.15	90
TCS Financial Solutions Australia Pty Ltd	Australia	100.00	100.00	0.10	46	0.07	38	-	-	0.07	38
Tata Consultancy Services Indonesia, PT	Indonesia	100.00	100.00	0.03	41	0.01	7	-	-	0.01	7
Tata Consultancy Services (China) Co., Ltd.	China	100.00	100.00	0.39	483	0.18	103	-	-	0.18	103
Tata Consultancy Services (Thailand) Limited	Thailand	100.00	100.00	0.06	77	0.03	17	-	-	0.03	17
Tata Consultancy Services (Philippines) Inc.	Philippines	100.00	100.00	0.24	291	0.38	217	(2.26)	9	0.40	226
Tata Consultancy Services Japan, Ltd.	Japan	66.00	66.00	1.91	2,353	0.75	428	-	-	0.74	428
Tata Consultancy Services BT Private Limited	Bhutan	100.00	-	-	-	-	-	-	-	-	-
Tata Consultancy Services (Africa) (Proprietary) Limited	South Africa	100.00	100.00	0.03	41	0.03	18	-	-	0.03	18
Tata Consultancy Services (South Africa) (Proprietary) Limited	South Africa	70.00	100.00	0.09	116	0.09	54	-	-	0.09	54
Tata Consultancy Services Qatar	Qatar	100.00	100.00	0.05	65	0.02	9	-	-	0.02	9
Trusts	India	-	-	0.25	313	-	1	-	-	-	1
TOTAL				**100.00**	**1,23,207**	**100.00**	**57,433**	**100.00**	**(399)**	**100.00**	**57,034**
a) Adjustments arising out of consolidation					**(14,729)**		**(7,979)**		**3,149**		**(4,830)**
b) Non-controlling interests											
Indian subsidiaries											
APTOnline Limited					(17)		(3)		-		(3)
C-Edge Technologies Limited					(295)		(80)		-		(80)
MP Online Limited					(17)		(3)		-		(3)
MahaOnline Limited					(23)		(1)		-		(1)
HyperVault AI Data Center Limited					(72)		1		-		1
Foreign subsidiaries											
Tata Consultancy Services Japan, Ltd.					(777)		(142)		(33)		(175)
Tata Consultancy Services (South Africa) (PTY) Ltd.					(37)		(16)		(6)		(22)
					(1,238)		**(244)**		**(39)**		**(283)**
TOTAL					**1,07,240**		**49,210**		**2,711**		**51,921**

Notes:

1. On January 29, 2025, the Share Purchase and Securities Purchase Agreement (SSPA) was executed between Tata Consultancy Services Limited (Company), Tata Realty and Infrastructure Limited (TRIL), TRIL Bengaluru Real Estate Five Limited (TBRF) and TRIL Bengaluru Real Estate Six Limited (TBRS) for acquisition of 100% equity shares and optionally redeemable convertible debentures of TBRF and TBRS held by TRIL, in two tranches at a consideration of ₹1,593 crore.

On April 30, 2025, the Company paid ₹554 crore towards consideration for remaining 35% stake in equity shares and optionally redeemable convertible debentures in TBRF and TBRS.

2. TCS Solution Center S.A. merged with TCS Uruguay S.A. w.e.f. October 1, 2025.

3. On October 10, 2025, the Company acquired 100% ownership interest of ListEngage Midco, LLC along with its subsidiary ListEngage, LLC, limited liability companies in Delaware and leading Salesforce summit partner, for a consideration of $69 million (equivalent to ₹612 crore).

4. The Company incorporated a subsidiary, HyperVault AI Data Center Limited on October 29, 2025.

5. The Company signed an agreement to acquire 100% stake in Coastal Cloud Holdings, LLC along with its subsidiaries ("Coastal Cloud"), a leading Salesforce Summit partner that specializes in Salesforce Consulting for an all cash consideration of $700 million (equivalent to ₹6,294 crore). The Company, through ListEngage Midco, LLC, a wholly owned subsidiary of the Company in U.S.A. acquired Coastal Cloud.

6. ListEngage Midco, LLC incorporated a subsidiary, TCS North America Corporation in U.S.A. on December 15, 2025.

7. ListEngage Midco, LLC incorporated a subsidiary, Trident LE LLC in U.S.A. on December 15, 2025.

8. TCS Iberoamerica S.A. incorporated a subsidiary, 3-101-951221 S.A. in Costa Rica on December 15, 2025.

9. Tata Consultancy Services Asia Pacific Pte. Ltd. incorporated a subsidiary, Tata Consultancy Services BT Private Limited in Bhutan on December 16, 2025.

10. Trident LE LLC merged with Coastal Cloud Holdings, LLC w.e.f. January 14, 2026.

11. Tata Consultancy Services Netherlands B.V. incorporated a subsidiary, Tata Consultancy Services Regional Headquarters in the Kingdom of Saudi Arabia on January 18, 2026.

12. Tata Consultancy Services Netherlands B.V. incorporated a subsidiary, Tata Consultancy Services Maroc SARL AU in Morocco on January 23, 2026.

13. SCP V-B Blocker III LLC renamed to Coastal Cloud NA LLC w.e.f. February 10, 2026.

22) Related party transactions

The Company's principal related parties consist of its holding company Tata Sons Private Limited and its subsidiaries, its own subsidiaries, affiliates and key managerial personnel. The Group's material related party transactions and outstanding balances are with related parties with whom the Group routinely enter into transactions in the ordinary course of business.

Transactions and balances with its own subsidiaries are eliminated on consolidation.

Transactions with related parties are as follows:

(₹ crore)

	Year ended March 31, 2026				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	78	1,370	5,661	-	7,109
Interest income	-	80	-	-	80
Rent income	-	4	-	-	4
Purchases of goods and services (including reimbursements)	4	2,209	247	-	2,460
Brand equity contribution	369	-	-	-	369
Facility expenses	1	32	72	-	105
Lease rental	-	52	61	-	113
Contribution and advance to post employment benefit plans	-	-	-	2,954	2,954
Procurement towards Property, plant and equipment	-	434	30	-	464
Loans and advances given	-	21	13	-	34
Loans and advances recovered	-	260	3	-	263
Dividend paid	28,291	11	3	-	28,305
Guarantees given	-	-	1	-	1
Inter-corporate deposits placed	-	1,500	-	-	1,500

(₹ crore)

	Year ended March 31, 2025				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	69	1,201	5,549	-	6,819
Rent income	-	3	-	-	3
Interest income	-	20	-	-	20
Purchases of goods and services (including reimbursements)	1	8,178	212	-	8,391
Brand equity contribution	348	-	-	-	348
Facility expenses	1	13	75	-	89
Lease rental	-	49	60	-	109
Bad debts and advances written off, allowance for doubtful trade receivables and advances (net)	-	8	2	-	10
Contribution and advance to post employment benefit plans	-	-	-	4,173	4,173
Procurement towards Property, plant and equipment	-	501	19	-	520
Loans and advances given	-	577	31	-	608
Loans and advances recovered	-	50	5	-	55
Dividend paid	32,184	12	4	-	32,200
Guarantees given	-	-	2	-	2
Purchase of investments	-	498	-	-	498
Acquisition of assets (Refer note 21)	-	1,620	-	-	1,620

Balances receivable from related parties are as follows:

(₹ crore)

	As at March 31, 2026				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	8	264	1,540	-	1,812
Investments, loans, other financial assets and other assets	2	3,641	44	-	3,687
	10	**3,905**	**1,584**	**-**	**5,499**

(₹ crore)

	As at March 31, 2025				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	17	250	1,710	-	1,977
Investments, loans, other financial assets and other assets	2	2,263	35	-	2,300
	19	**2,513**	**1,745**	**-**	**4,277**

Balances payable to related parties are as follows:

(₹ crore)

	As at March 31, 2026				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	361	4,311	298	115	5,085
Commitments	-	772	45	-	817
	361	**5,083**	**343**	**115**	**5,902**

(₹ crore)

	As at March 31, 2025				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	333	5,268	306	-	5,907
Commitments	-	1,012	52	-	1,064

Material related party transactions are as follows:

	Year ended March 31, 2026	Year ended March 31, 2025
		(₹ crore)
Revenue from operations		
Jaguar Land Rover Limited	3,572	3,661
Tata Steel IJmuiden BV	717	429
Purchases of goods and services (including reimbursements)		
Tejas Networks Limited	26	7,508
Tata Communications (UK) Limited	1,219	-
Advances given		
Tejas Networks Limited	-	-
Contribution and advance to post employment benefit plans		
Tata Consultancy Services Employees' Provident Fund	2,673	3,870
Inter-corporate deposits placed		
Tata Capital Limited	1,000	
Acquisition of assets		
Tata Realty and Infrastructure Limited	-	1,620

Material related party balances are as follows:

Material related party balances are as follows:

	As at March 31, 2026	As at March 31, 2025
		(₹ crore)
Trade receivables and contract assets		
Jaguar Land Rover Limited	991	1,028
Investments, loans, other financial assets and other assets		
Tejas Networks Limited	1,335	1,460
Tata Capital Limited	1,534	498
Tata Capital Housing Finance Limited	527	-
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities		
Tejas Networks Limited	3,959	4,317
Tata Realty and Infrastructure Limited	3	557
Commitments		
Tata Projects Limited	700	946

Transactions with key management personnel are as follows:

	Year ended March 31, 2026	Year ended March 31, 2025
		(₹ crore)
Short-term benefits	68	45
Dividend paid during the period	-	1
Post-employment benefits	-*	1
	68	**47**

*Represents value less than ₹0.50 crore.

The remuneration of directors and key executives is determined by the nomination and remuneration committee having regard to the performance of individuals and market trends.

23) No funds have been advanced / loaned / invested (from borrowed funds or from share premium or from any other sources / kind of funds) by the Group to any other person(s) or entity(ies), including foreign entities (Intermediaries), with the understanding (whether recorded in writing or otherwise) that the Intermediary shall (i) directly or indirectly lend or invest in other persons or entities identified

in any manner whatsoever by or on behalf of the Group (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries except as mentioned below:

Funds Advanced / Loaned / Invested by the Company in Intermediaries

Sr. No.	Funding Party 1	Intermediary 1	Relationship with TCS	Date of Transaction	Nature of Transaction	Amount
1	Tata Consultancy Services Limited	ListEngage Midco, LLC	Wholly owned direct subsidiary	January 13, 2026	Funding for onward investment	$703 million (equivalent to ₹6,344 crore)

Funds further routed by Intermediaries

Sr. No.	Funding Party 2/ Intermediary 1	Intermediary 2	Relationship with TCS	Date of Transaction	Nature of Transaction	Amount
1	ListEngage Midco, LLC	TCS North America Corporation	Indirect subsidiary	January 13, 2026	Acquisition of ownership interest	$93 million (equivalent to ₹835 crore)

Sr. No.	Funding Party 3/ Intermediary 2	Ultimate beneficiary	Relationship with TCS	Date of Transaction	Nature of Transaction	Amount
1	TCS North America Corporation	Erstwhile shareholders of Coastal Cloud Holdings, LLC	None	January 13, 2026	Acquisition of ownership interest	$93 million (equivalent to ₹835 crore)
2	ListEngage Midco, LLC	Erstwhile shareholders of Coastal Cloud Holdings, LLC	None	January 13, 2026	Acquisition of ownership interest	$606 million (equivalent to ₹5,467 crore)

Minor amount remaining from funds transferred by TCS held by ListEngage Midco, LLC for future use.

The Company has provided corporate guarantee of $25 million (equivalent to ₹226 crore) on behalf of ListEngage Midco, LLC (wholly owned subsidiary) in connection with acquisition of Coastal Cloud Holdings LLC along with its subsidiaries on December 10, 2025.

The transactions mentioned above are not in violation of Prevention of Money-Laundering Act, 2002 and are in compliance of the provisions of Foreign Exchange Management Act, 1999 and Companies Act, 2013.

No funds have been received by the Group from any person(s) or entity(ies), including foreign entities (Funding Parties), with the understanding (whether recorded in writing or otherwise) that the Group shall (i) directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

24) The sitting fees and commission paid to non-executive directors is ₹15 crore and ₹12 crore as at March 31, 2026 and 2025, respectively.

25) In July 2025, the Group announced re-structuring initiatives. As a part of this initiative, the Group released / will release certain associates from the organisation whose deployment may not be feasible. Termination benefits have been provided as per policy devised for this purpose. Such termination benefits, due to their size, nature or occurrence are disclosed as "Re-structuring expenses" under "Exceptional items" in the consolidated financial statements. Out of the total re-structuring expenses of ₹1,388 crore provided during the year ended March 31, 2026, ₹1,268 crore is utilized during the year.

26) On November 21, 2025, the Government of India notified the four Labour Codes - the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020, and the Occupational Safety, Health and Working Conditions Code, 2020 - consolidating 29 existing labour laws. The Ministry of Labour & Employment published draft Central Rules and FAQs to enable assessment of the financial impact due to changes in regulations. The Group has considered restructured compensation of its employees with effect from April 1, 2026, and assessed the impact of the changes, consistent with the Labour Codes, draft rules, FAQs and legal opinion. Considering the materiality and regulatory-driven, non-recurring nature of this impact, the Group has presented such incremental impact as "Statutory impact of new Labour Codes" under "Exceptional Items" in the consolidated statement of profit and loss for the year ended March 31, 2026. The Group continues to monitor the finalisation of Central / State Rules and clarifications from the Government on other aspects of the Labour Code and would provide appropriate accounting effect on the basis of such developments as needed.

27) Dividends

Dividends paid during the year ended March 31, 2026 include an amount of ₹30.00 per equity share towards final dividend for the year ended March 31, 2025 and an amount of ₹79.00 per equity share towards interim dividends (including special dividend) for the year ended March 31, 2026. Dividends paid during the year ended March 31, 2025 include an amount of ₹28.00 per equity share towards final dividend for the year ended March 31, 2024 and an amount of ₹96.00 per equity share towards interim dividends (including special dividend) for the year ended March 31, 2025.

Dividends declared by the Company are based on profits available for distribution. On April 9, 2026, the Board of Directors of the Company have proposed a final dividend of ₹31.00 per equity share in respect of the year ended March 31, 2026 subject to the approval of shareholders at the Annual General Meeting, and if approved, would result in cash outflow of approximately ₹11,216 crore.

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, April 9, 2026

For and on behalf of the Board

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director – President and COO
DIN: 07121802

Samir Seksaria
CFO

Yashaswin Sheth
Company Secretary

Mumbai, April 9, 2026